



BUILT BY AFRICANS
FOR AFRICA

HR TRAINING

MODULE 1

HR Operations

A Traction Outsourcing Limited HR Training Resource

BUILT BY AFRICANS, FOR AFRICA

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1.1 HR Operations

Objectives — by the end of this section, you should be able to:

1. Describe the major HR functions that must occur in most organizations.
2. Explain the primary purposes of having established HR policies.
3. List the topics that would typically be covered in an employee handbook.
4. Explain the difference between HR generalists and HR specialists.
5. List and describe the main roles of an HR manager.
6. Describe the various commonly-used methods of budgeting.

Introduction

We live in an organizational world where we interact with organizations as members, employers, and clients; we depend on healthy organizations to provide employment and to supply essential goods and services. Human resource management plays a central role in creating healthy organizations and helping them survive. HR managers are responsible for all of the diverse issues associated with people in organizations.

HR Functions

The major HR functions include

1. Staffing
2. Performance management
3. Compensation and benefits
4. Training and development
5. Employee relations
6. Safety, health, and security
7. HR research

These functions consist of core HR activities that are vital for every organization regardless of size and organizational structure. Organizations that are too small to have an HR department may assign these functions to other departments, while large organizations may delegate them to separate departments.

For example, a large organization may have a separate safety department, while small organizations delegate safety responsibilities to line managers. Nevertheless, safety programs are important to every organization, and in most organizations the HR department is involved in safety activities.

Staffing/Employment

Staffing, usually called employment, involves three major activities.

- Human resource planning
- Recruitment
- Selection

Typically, anticipating human resource needs is the responsibility of line managers. As organizations grow in size and complexity, however, line managers come to depend more on the human resource department to gather information regarding the composition of the workforce and the skills of present employees.

Although recruiting is performed primarily by the human resource department, other departments may be involved in providing job descriptions and job specifications to assist the recruiting effort. Also, line managers may be asked to make recruiting visits to college campuses.

In selecting new employees, the human resource department typically screens applicants through interviews, tests, and background investigations, then recommends three or four eligible applicants to the manager or supervisor for a final hiring decision. Because of laws prohibiting discrimination and the associated compliance requirements, the responsibility of most human resource departments for staffing activities has increased significantly.

Performance Evaluation

The responsibility for evaluating employee performance is generally shared between HR managers and line management. Department managers and supervisors assume the primary responsibility for evaluating subordinates since they observe job performance and are best able to make accurate assessments.

However, the HR department is generally responsible for developing effective performance appraisal forms and assessment procedures and for ensuring that performance evaluations are conducted uniformly throughout the organization. The HR department also may need to train supervisors how to establish reasonable performance standards, make accurate assessments, and conduct performance interviews.

Compensation and Benefits

The management of compensation and benefits involves the coordinated efforts of the HR department and operating managers. Typically, line managers are responsible for recommending wage increases, and the human resource department is responsible for developing and maintaining a wage and salary structure. An effective compensation system requires a careful balance between pay and benefits. Pay includes the wages, bonuses, incentives, and profit sharing received by an employee. Benefits include all non-wage items such as medical insurance, life insurance, vacations, and other employee services. HR departments are responsible for making certain that compensation and benefits are motivating, legal, fair in terms of internal equity, and competitive with other similar organizations.

Training and Development

Most of the training that occurs in organizations is on-the-job training through the coaching and counseling of supervisors. The role of the HR department is usually that of helping supervisors become better trainers and conducting separate training and development sessions. The HR department is frequently involved in new-employee orientation training, supervisory-skill training, and various

management development activities. The HR department also may be involved in assessing the training needs of the organization and evaluating the effectiveness of the training programs. In many organizations the human resource department also assumes responsibility for job redesign and organizational development. These activities often lead to a major restructuring of the organization or to the resolution of major conflicts within the organization.

Employee Relations

Every organization needs a clearly defined disciplinary procedure for handling problem employees, as well as an effective grievance procedure to protect employees. HR departments need to be heavily involved in employee relations. In general, employees do not vote to join a union if their wages are fair and adequate and they believe management is responsive to their feelings and needs. To maintain nonunion status, HR departments need to make certain that the employees are treated fairly and that there is a well-defined procedure for resolving complaints.

In unionized organizations, the HR department takes an active role in negotiating and administering the labor agreement. Gathering information and helping to prepare the company's bargaining position is normally the responsibility of the HR department prior to negotiations. After an agreement has been negotiated, the HR department typically trains supervisors how to administer the labor agreement and to avoid excessive grievances. A major responsibility of the HR department, especially during the organizing campaign, is to ensure that the company avoids unfair labor practices. When a union is present, this activity is often called "labor relations" or "industrial relations."

Health, Safety, and Security

Every organization is required to have an ongoing safety program to eliminate unnecessary accidents and unhealthy conditions. Employees need to be continually reminded of the importance of safety and instructed on how to avoid accidents. An effective safety program can reduce the number of accidents and improve the general health of the workforce. It is a major responsibility of most human resource departments to provide safety training, to identify and correct unsafe conditions, and to report accidents and injuries.

HR Research

Human resource departments share a responsibility for improving organizational effectiveness by analyzing individual and organizational problems and making adaptive changes. Countless questions can be asked regarding the attitudes and behaviors of employees and the effectiveness of human resource policies and procedures. Some of the most frequently asked questions concern the causes of absenteeism and tardiness, the appropriateness of recruitment and selection procedures, and the causes of dissatisfaction. HR departments need to participate in data analytics with the emergence of big data that are generated from social media and the transmission of other electronic information. Most human resource departments are responsible for collecting and analyzing information pertaining to these problems. The results are used to assess the adequacy of present policies and to suggest necessary changes.

HR Policies and Procedures

HR Policies

Human resource policies guide the actions of an organization toward achieving its objectives. An objective specifies what is to be done; a policy explains how it is to be done. HR policies refer to standing plans that furnish broad guidelines and direct the thinking of managers about human resource issues. The following are some of the most common issues treated in human resource policies.

- Discipline problems, such as absenteeism, insubordination, and inappropriate activity
- Promotions, transfers, and layoffs
- Compensation, pay increases, and benefits
- Holidays, vacations, and sick leave
- Appropriate uses of technology
- Termination

Human resource policies serve three major purposes.

1. To reassure employees that they will be treated fairly and objectively.
2. To help managers make rapid and consistent decisions.
3. To give managers the confidence to resolve problems and defend their decisions.

To achieve these purposes, human resource policies should be written and available for everyone to examine. Written policies are more authoritative than verbal ones and serve as valuable aids in orienting and training new personnel, in administering disciplinary actions, and in resolving grievance issues. Human resource policies are typically formed under the direction of top-level managers; however, since first-level supervisors are involved in administering these policies, input from them is useful in formulating new policies.

Employee Handbooks and Policy Manuals

Employee handbooks and policy manuals describe the important aspects of the employment relationship that employees need to know. A handbook is not the same as a policies manual, although most employers combine them into one document, especially smaller companies. Most handbooks only contain summary information about things employees need to know regarding their employment relationship with a company. They should be written in a language that is generally understandable and sets the right tone to reflect the organization's culture. Handbooks that are written by lawyers using an excessively legal vocabulary are generally ignored by employees and they are often overly restrictive for employers.

Policy manuals are a compilation of all the policy decisions a company has made. These manuals are usually rather formal and lengthy because they often serve legal purposes. Consequently, policy manuals are more difficult to read. Large organizations are more likely to have policy manuals.

Organizations have an obligation to follow their written policies. When issues of fairness go to trial, courts expect organizations to behave as they have promised in their policy statements. Organizations that do not have policy statements have greater latitude in acting as they choose, provided their conduct is not outrageous. But organizations that have official policies need to follow them.

When new employees enter the organization, they are frequently bombarded with far too much information to assimilate at once. Many organizations effectively use employee handbooks and policy manuals to communicate with employees and help them understand what they need to know by placing this information on a secure site online.

The most important purpose of an employee handbook is that it provides a central information source explaining what employees need to know about their employment relationship. Handbooks that are available online are especially convenient for employees and supervisors to review. Employees have an opportunity to learn about the company, what it provides for them, and what it expects of them. Equally valuable is the opportunity to study this information at their own pace. New employee orientations and other training programs help employees know what is expected of them, but they still need access to this information for review.

Most handbooks explain the history and culture of the company and give employees an appreciation of the organization and its mission. Well-designed handbooks help to create an organization's culture. Standards of quality and customer service can become general norms because of statements about the importance of serving customers and the value of quality products. These expectations also help to create a more committed and loyal workforce.

Employers also benefit from using an employee handbook. Many of the questions that employees repeatedly ask can be answered in the handbook, saving countless calls to the human resource department. Employee handbooks and an attractive company web site can also serve as an effective recruiting tool by helping to convince job applicants that the company is a good place to work.

There are no rules about what employee handbooks should contain; however, most handbooks cover the following topics.

- A statement of welcome and an explanation of the handbook's purpose
- A brief history of the company and information about its products and services
- A mission or vision statement
- Policy statements
- Information about recruitment, promotion, termination, and rehire policies
- Compensation information, including employment classifications, work hours, overtime, and pay procedures
- Workplace conduct rules including procedures for addressing complaints and resolving disciplinary problems
- Information on paid time off, leaves of absence, holidays, and vacations
- Summary plan descriptions of benefits such as health insurance and retirement plans
- A description of opportunities for training and professional development
- Emergency procedures and contact information
- A brief explanation of procedures for arranging travel and receiving expense reimbursements

Employers need to exercise caution in using employee handbooks to prohibit undesirable behavior, especially with respect to social media. Angry comments posted online may be very embarrassing to supervisors or damaging to the reputation of a company, but employer policies designed to protect its reputation should not be so sweeping that they prohibit activities protected by labor law, such as the discussion of wages or working conditions among employees. An employee's comments on social media may be protected if they are work-related and not mere gripes unrelated to group activity among employees.

Employee handbooks and policy manuals do not work well in some countries because of various cultural incompatibilities. Employee handbooks may be viewed as heavy handed by employees and may conflict with local laws. Provisions that may seem unusual or offensive outside the United States include restrictions on co-worker dating, dress codes, open-door policies, smoke-free and alcohol-free workplaces, and nepotism. Other policies may be regulated by local laws, such as recordkeeping, holidays and vacations, leave breaks, overtime, pay periods, health benefits, grievance procedures, hotlines, and grounds for discipline. It has been suggested that multinational companies adopt a global code of conduct that outlines in broad terms the kinds of desirable and acceptable behavior rather than try to publish a one-size-fits-all employee policy manual.

HR Generalists and HR Specialists

A small organization with fewer than 60 to 80 employees usually does not have a human resource department or an HR manager. The functions of recruiting, hiring, training, safety, and performance evaluation (if performance is formally evaluated) are generally performed by line managers. Compensation decisions are normally made by line managers, and the payroll is handled by the finance officer. As the organization begins to exceed 100 to 200 employees, however, a separate staff position is usually required to coordinate the human resource functions.

When the organization becomes too large for one person to handle all human resource functions, separate positions are created and placed under the direction of an HR manager. A typical division of responsibilities for a human resource department would include supervisors in the areas of employment, compensation and benefits, training and development, risk management, and, if a union is present, labor relations.

Although human resource positions vary from company to company, three major classifications are usually found.

1. General human resource manager or executive
2. Human resource specialists
3. Supporting positions

Human Resource Manager or Executive

Most human resource departments are led by a person with the title of chief human resource officer (CHRO), human resource vice president, or director of human resources. Senior human resource executives are usually human resource generalists who possess a broad comprehension of all the human resource functions and how they interact with the other departments in the organization.

The operating human resource manager is typically a generalist who administers all of the human resource functions and coordinates them with other organizational activities. In very small companies, the human resource director may be someone hired from outside the company or a line officer transferred from another area of the company. In large corporations, the top human resource positions are usually filled by promoting lower-level human resource specialists. Increasingly, human resource executives have at least some formal training in law due to the trend toward legalism in human resource management.

Some organizations have a position called the human resource business partner (HRBP), who works directly with top-level managers or executives. The HRBP does not have an administrative role in the organization and is not generally part of the HR department, but is more of a consultant to the executive team and collaborates with the HR department. The main objective of the HRBP is to ensure that HR policies and procedures are in line with and support the strategy and objectives of the organization.

Human Resource Specialists

In large organizations, the various human resource functions are usually carried out by human resource specialists. Exhibit 1.1 represents an organizational chart for a company that is organized by function. The human resource department is headed by the vice president who reports to the president or chief executive officer just like the departments of finance, sales, and manufacturing.

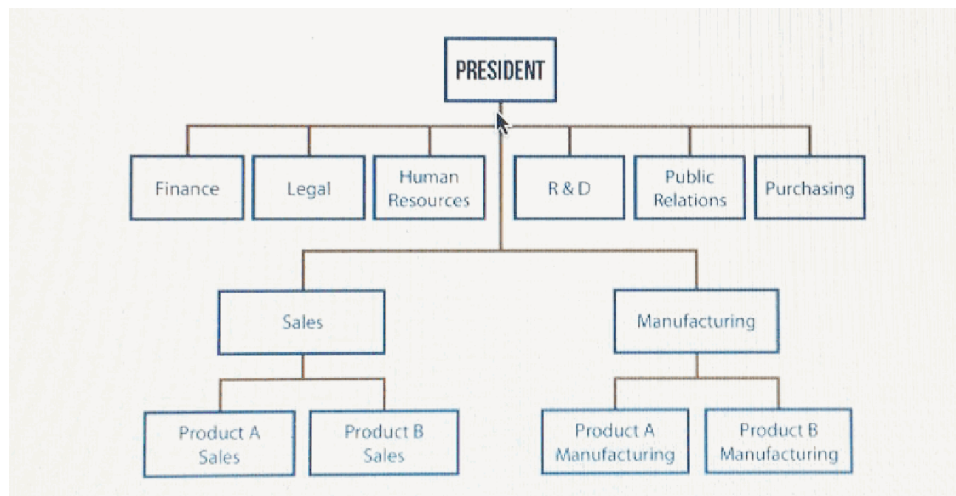


Exhibit 1.1: An Organization Chart for a Company Organized by Function

The major types of human resource specialists are shown in Exhibit 1.2, which illustrates an organizational chart for a large human resource department. In a large corporation, the human resource area may consist of separate departments headed by managers of employment, human resource planning, compensation, benefits and services, training and development, employee (or labor) relations, risk management, and equal employment opportunity. The newest HR specialist position is called a sustainability officer, a position that is found in green companies to assess and minimize the organization's environmental impact.

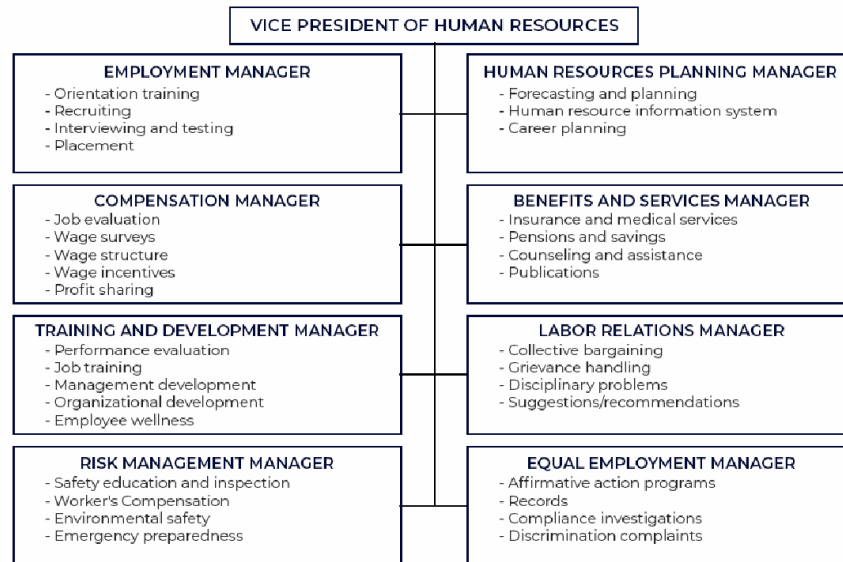


Exhibit 1.2: An Organization Chart Showing the Human Resource Department

Human resource specialists are professional and technical people who have special expertise in one functional area, such as staffing, compensation, employee relations, or training. Multiple levels of skill and responsibility are usually found in each of these functional areas if an organization is large enough. For example, an entry-level position in staffing might entail recruiting and interviewing hourly applicants. From that position, the person might be promoted to manage the employment of professional and managerial applicants. This job could be followed by a promotion to the position that coordinates all staffing activities. The job of human resource specialist is often viewed as a stepping-stone to a higher-level human resource position, such as general manager or executive.

Human Resource Support Jobs

About half the positions in a typical human resource department are support jobs such as receptionist, secretary, and other clerical positions. These jobs, which involve record keeping, data gathering, and reporting, are usually filled by graduates of high schools or technical colleges. Unless these employees acquire additional training in human resources, however, they are not likely to be promoted to a job such as human resource specialist or general human resource manager or executive.

HR Education

The career paths for HR generalists, HR specialists, and HR support staff are not clearly marked even though they are strongly influenced by different educational degrees. As a general rule, HR generalists and executives are people who obtain a Master's degree in business administration or human resources, whereas people who obtain degrees in specialty areas, such as organizational psychology or industrial relations, tend to become HR specialists. Countless exceptions can be found to this rule, including the question of whether a graduate degree or even any formal training for that matter is required. Nevertheless, to be a competent HR executive, in addition to knowing HRM, one must have a broad

understanding of business fundamentals, especially accounting, finance, marketing, and production management. Good HR executives must know such things as what it takes to produce a profit, how to read accounting reports and where the numbers come from, how to finance a new product, and how to bring it to market. MBA programs are generally viewed as the best academic preparation for learning these business skills. People who want to be an HR specialist usually receive more in-depth training for what they want to do in such programs as an MA in Organizational Psychology, an MS in Organizational Behavior, an MS in Human Resources, or law.

HR Roles

In helping to manage the firm's day-to-day operations, human resource managers typically perform three roles.

1. The advisory or counseling role
2. The service role
3. The control role

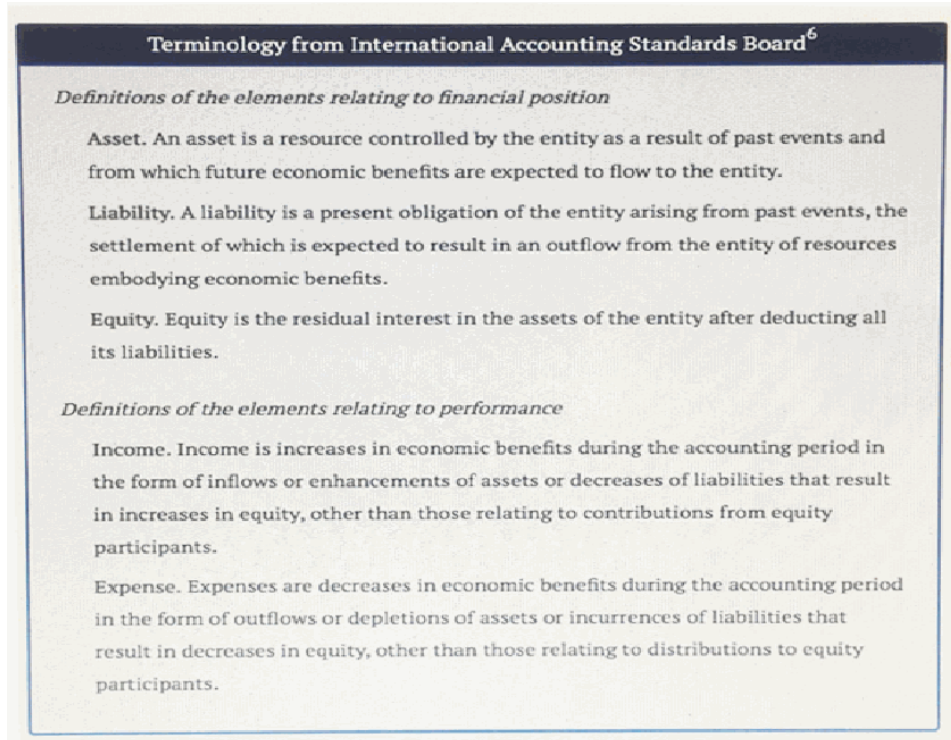
The advisory or counseling role: In the advisory or counseling role, HR managers are seen as internal consultants who gather information, diagnose problems, prescribe solutions, and offer assistance in resolving human resource problems. This relationship between line and staff is similar to that which exists between a professional consultant and a client. It is the responsibility of the human resource manager to give advice regarding discipline and grievance issues, performance problems, and job redesign. In these situations, the human resource department provides input that assists line managers in making decisions.

The service role: In this role, HR managers perform activities that can be provided more effectively through a centralized staff than through the independent efforts of several different units. These activities are a direct service for line management or for other staff departments. Recruiting, orientation training, record keeping, and reporting duties are examples of the human resource department's service role.

The control role: The human resource department is required to control certain important policies and functions within the organization. This staff role is sometimes called functional authority. In performing this role, the human resource department establishes policies and procedures and monitors compliance with them. In exercising this role, the human resource staff members are seen as representatives or agents of top management. Because of legislation, the control role has become increasingly important in the areas of safety, equal employment opportunity, labor relations, and compensation.

Financial Knowledge

One of the common complaints of executives is that human resource people do not understand the business; they do not know what is required to make a profit or how to speak the language of business. Human resource professionals should be familiar with their organization's financial situation and understand how human resource activities are impacted by and can influence the organization's financial success. Familiarity with financial and accounting terminology can be helpful in communicating with executives and managers. Below is a list of key terminology from the International Accounting Standards Board.



Terminology from International Accounting Standards Board

Financial Statements

A financial statement is an official, formal record of an organization's financial activities. The financial information is typically reported in a standard format so it can be compared with past performance and benchmarked against other entities. Financial statements are used by a variety of stakeholders, including the organization's executives, shareholders, potential investors, lenders, and creditors, to guide business decisions. Financial statements typically include the following.

- A balance sheet is a statement of financial position that reports a company's assets, liabilities, and equity as of a specific point in time, such as the end of the company's fiscal year. The balance sheet is based on this equation, where the two sides balance each other: $\text{Assets} = \text{Liabilities} + \text{Equity}$.
- An income statement, also known as a profit and loss statement, reports a company's income, expenses, and profits over a certain period of time.
- A cash flow statement reports the flow of cash in and out of a company, showing changes in the balance sheet and how those changes affect the availability of cash.

Budgets

A budget is a plan that describes expected income and expenses over a period of time. It can include expected sales volume, revenue, expenses, assets, and liabilities. Budgets are used in the strategic planning process to express an organization's plans in measurable terms. Budgets may be created for the entire company and for each organizational unit, as well as for specific projects, activities, and events. Some of the important functions of budgets in the organization are to

- Control income and expenditures

- Establish priorities
- Set performance goals
- Assign responsibilities
- Allocate the use of resources
- Forecast future needs
- Motivate individuals and organizational units
- Improve efficiency
- Monitor and evaluate performance

Budgets are created using a variety of methods. The traditional process for creating a budget involves using the previous budget as the basis for the new budget. Adjustments are made where needed based on the organization's actual performance and anticipated future needs. Other budgeting methods include

- Incremental budgeting: The previous budget is the basis for the new budget, and an incremental allocation, usually a percentage, is added to (or subtracted from) the budget across the board.
- Top-down budgeting: Upper-level management sets the budget and gives lower-level managers direction on how to allocate the budgeted resources within their areas.
- Bottom-up budgeting: Lower-level managers determine the budgets for their individual departments and submit them to upper-level management for review and approval.
- Activity-based budgeting: The organization determines which activities need to take place to meet its goals, and the costs associated with these activities determine the budget.
- Formula-based budgeting: Budgets are calculated using a pre-determined formula based on factors such as enrollment. This method is often used in higher education.
- Zero-based budgeting: Budgets start from zero, and managers are required to identify every activity and justify every expense.

Self-Assessment

- › I can describe the major HR functions that must occur in most organizations.
- › I can explain the primary purposes of having established HR policies.
- › I can list the topics that would typically be covered in an employee handbook.
- › I can explain the difference between HR generalists and HR specialists.
- › I can list and describe the main roles of an HR manager.
- › I can describe the various commonly-used methods of budgeting.

1.2 Organizational Strategy

Objectives — by the end of this section, you should be able to:

1. Explain the role of a mission statement in an organization and describe how mission statements might be developed.
2. Define the term “strategy” and describe its role in an organization.
3. Explain how strategies are formulated.
4. Describe the components found in most business plans.

Introduction

An organization's strategy determines the direction it will go and serves to coalesce the energies of many people and departments in a unified effort. Good strategies help organizational leaders make consistent and effective decisions. They also communicate expectations and coordinate the actions of the members.

In a business organization, strategy is about profits; it explains how the firm plans to make money now and in the future. A good strategy helps it to remain profitable and continue to grow. Strategies are also important to nonprofit companies, such as hospitals, universities, and government agencies, since they compete with other organizations for clients and resources. Every organization needs to have a strategy that is consistent with its mission. Managers try to position their companies so that they can gain a relative advantage over their rivals. This positioning requires a careful evaluation of the competitive forces that dictate the rules of competition in each industry.

HR managers are expected to interact with other leaders in their organization in developing the organization's competitive advantage and aligning HR functions with business strategies. Organizations operate in a dynamic environment; external and internal forces are continually changing. HR managers serve as strategic partners with other corporate executives in executing strategy.

Defining the Organization's Mission

An effective organization begins with a mission that identifies what it is striving to become and a strategy that explains how it plans to succeed. Organizations are created for a purpose, and they function more effectively when all stakeholders clearly understand the organization's mission and strategy. Strategy refers to the goals and policies designed to achieve competitive advantage in a particular marketplace.

Competitive advantage, the central insight of organizational strategy, can be stated simply: to create a successful company you must identify a product or service that you can provide in a competitive market and do it better than your competitors. The probability that your company will be profitable increases as

- You have a clear vision about the product or service you want to provide and how it will benefit people, other companies, and society.
- You choose an attractive industry in which to compete.

- You provide a superior product or service in terms of cost or quality.
- You have few, or no, competitors.
- Your product or service cannot be easily imitated by competitors.
- Few, if any, substitutes can replace the demand for your product or service.

The Value of Mission Statements

An organization is formed when someone has a vision or idea about the kind of product or service the company ought to provide, and this becomes the firm's mission. Even nonprofit organizations have a shared understanding of what the organization is trying to accomplish and how it will improve the lives of people. Every large corporation started as a small company with the vision of a founder who has such a vision. The vast majority of organizations are started as small, family-run businesses by a founder. Effective organizations depend on the existence of a powerful shared vision that evolves and is refined through wide participation. The power of a shared mission usually does more to inspire and unite people than the charisma of a leader.

Vision and mission statements are similar, but each has a distinct function in the strategic planning process of a company. A vision statement imagines in detail what the company will become if successful. Good vision statements answer this question: if the organization were to achieve all of its strategic goals, what would it look like ten and twenty years from now? An effective vision statement creates a mental image of what the organization will be like in the future if it succeeds. A mission statement explains why an organization exists, whom it serves, and why it should continue. It helps to focus the energies of an organization by answering these questions: What is our core purpose? What business are we in? What values will guide us? It is based on the organization's assumptions about its role, its values, its distinctive competencies, and its place in the world. Effective organizations usually have a written mission statement that defines success for the company. The focus of a mission statement should be realistic and credible, the language should be well-articulated and easily understood, and the direction should be ambitious and responsive to change. It should orient the group's energies and serve as a guide to action by consistently aligning decisions and goals with the organization's values.

HR managers are normally expected to assist with the creation of vision and mission statements even though the ultimate responsibility for writing and disseminating them rests with top management. Organizational goals and objectives are usually derived from the mission statement, but they are more specific. While mission statements are not measurable, goals and objectives ought to be.

Writing Mission Statements

Although there are no commonly accepted guidelines for writing mission statements, the following elements are usually found in carefully crafted statements.

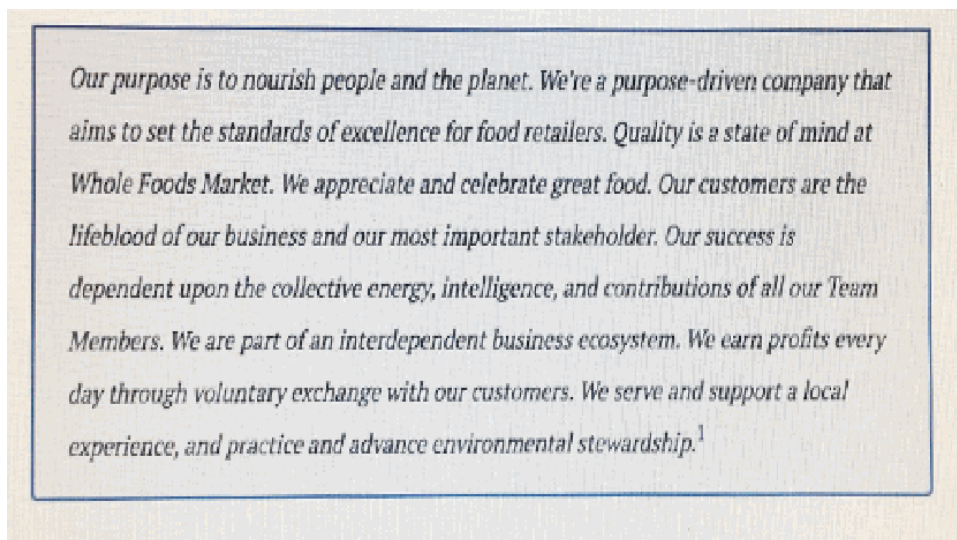
1. Purpose statement: This statement explains what the organization seeks to accomplish and why it deserves the commitment of members and the support of the public. Purpose statements try to answer such questions as 'How is the world going to be different as a result of our company?' 'What is going to change?' And 'How will things be better?'

2. Business statement: This statement identifies the organization's business activities or functions, such as to produce and transport goods (for a distributor) or to construct affordable housing for first-time homeowners (for a construction firm).
3. Values statements: These statements explain the values and beliefs that members hold in common and try to follow. These core values are an internalized framework that should guide the thinking and actions of leaders. For an organization to have an effective values statement, it must fully embrace the values and use them to guide its attitudes, actions, and decision-making at all times. Establishing a values-led organization is a difficult process that requires careful contemplation and a stable framework of cultural values and beliefs. Some of the most common value statements include a commitment to customer service, innovation, diversity, creativity, integrity, and personal development.

Useful mission statements should

1. Clearly identify the purposes of the organization so that measurable objectives can be derived from them.
2. Differentiate the firm from other companies in the industry and establish its individuality and uniqueness.
3. Define the business of the company with respect to its activities and products.
4. Identify and explain the firm's relationships and obligations to all relevant stakeholders.
5. Explain how it will contribute to society and improve lives.

Many of these characteristics can be illustrated by a well-crafted company mission statement, such as the following example from a purpose-driven food retailer.



Example: an organization's published mission statement

Selecting a Strategy

Organizations operate in a dynamic environment; external and internal forces change continually. To use a sports metaphor, both the playing field and the rules of the game are constantly being revised for

organizations. Products that were popular yesterday may be obsolete today; reliable customers who were satisfied last week may buy from a competitor this week; and last month's suppliers may have gone out of business.

The Role of Strategy

Strategy involves the combination of goals and plans to achieve competitive advantage and the methods of implementing them. To use another sports metaphor, a strategy is a game plan. Strategy has generally been used in a military context to refer to the coordinated action plans a military unit intends to use to defeat its enemy. The deployment of troops, the timing of the attack, and the means of deception are all part of military strategy.

Organizations create generic strategies to help them succeed in a dynamic and competitive environment. These generic strategies share several important characteristics.

- They promote the mission and goals the organization is striving to achieve.
- They have a long-term focus that extends beyond the immediate time horizon.
- They define the action plans the organization intends to follow to achieve its mission and goals.
- They recognize explicitly the impact of the external environment, especially the reactions of competitors.

Strategy Formulation

Selecting the right competitive strategy is vital to a firm's success. This decision determines how it is positioned in its industry. Strategy formulation is not a systematic process that advances sequentially from one action plan or objective to another, although it is less chaotic in some organizations than others. Strategy formulation is a dynamic process that is evolutionary in nature and subject to change as external forces change. Since strategy focuses on the future and the future is uncertain, strategy needs to be flexible and ready to respond to revised conditions.

The strategic management process involves an analysis of both internal and external factors to identify sources of competitive advantage. This popular approach to strategy development is often called the SWOT method, which stands for Strengths, Weaknesses, Opportunities, and Threats. Decision makers should examine the organization's competitive advantages relative to its internal strengths and weaknesses, its external opportunities and threats, and potential competitor actions, then formulate and implement a strategy, and evaluate and monitor the results, as shown in Exhibit 1.3.



Exhibit 1.3: Strategic Management Process

1. Identify the organization's mission and decide, “What business are we in?” This step forces management to carefully identify the scope of its products or services. Sometimes it is just as important to know what businesses an organization does not want to pursue as what it does want to pursue.
2. Analyze the environment and identify the opportunities it wants to pursue and threats it wants to avoid. This process, called environmental scanning, involves anticipating and interpreting changes in the environment and usually requires screening diverse information to detect emerging trends. There is some evidence that companies that scan the environment achieve higher profits and revenue growth than companies that do not.
3. Analyze the organization's resources and identify its strengths and weaknesses. What are its skills and abilities? What unique knowledge and patents does it possess? Has it been successful at developing new and innovative products or services? What is its reputation for quality? Unique skills or resources that give an organization a competitive edge is called its core competency. Conversely, those resources an organization lacks or activities the firm does not do well are its weaknesses.
4. Combine the external and internal analyses and formulate an overall generic strategy for the organization to follow, plus functional strategies for each organizational function. These functional strategies need to be aligned with the generic strategy so that the entire organization is united.
5. Implement the strategy appropriately. Even good strategies must be implemented properly or they will not succeed. Good implementation usually requires competent leaders who have the vision to know which direction to pursue and the trust of the members to encourage their involvement.
6. Evaluate and monitor the organization's results and maintain its competitive advantage. Long-term success with any strategy requires that the advantage be sustainable. That is, it must withstand both the actions of competitors and the evolutionary changes in the industry. This is a difficult challenge

since technology changes continually, customer preferences are not stable, and competitors continually imitate successful organizations.

The SWOT approach to strategy formulation assumes that decision makers carefully analyze an organization's strengths, weaknesses, opportunities, and threats as they decide its future. This approach is a very proactive way to develop a strategy, and it appears very clean and logical. However, it is not characteristic of the reactive way most organizational strategies develop.

Rather than creating a unified strategy based on a systematic analysis of the environment, most organizations formulate their strategies in response to problems. For example, a competitive threat, such as the sudden introduction of inexpensive competing products, might first cause a company to reduce its price, then segment itself as a quality producer, then pursue a different product line, or finally seek to enter a different market.

Both proactive and reactive methods of strategy formulation are appropriate depending on the circumstances. In a stable environment, a proactive method can be used effectively to move the organization toward its long-term objectives. In an unstable environment, however, strategies need to be more flexible and responsive to change. There is a fine line between weak strategies that fail to proactively set the future course of the organization versus rigid strategies that are inflexible and unable to reactively adapt to change.

The history of U.S. Steel illustrates how one company failed to adapt to competitive forces. When foreign steel companies began selling cheaper steel in the United States, U.S. Steel adopted a series of strategies to help it survive, but each one failed. First it relied on the loyalty of its customers to continue buying higher-priced steel. Next it lowered its prices. Then it lobbied for protective tariffs and embargoes. Then it tried various cost-cutting and technological improvements. Then it merged with Marathon Oil and became USX, only to be divested. U.S. Steel, the world's first billion-dollar company, was removed from the Dow Jones Industrial Average in 1991 and replaced on the S&P 500 in 2014. The fall of U.S. Steel, which reigned for many years in the early twentieth century as America's largest company, represents a significant strategy failure.

Writing a Business Plan

After a company has formulated a strategy for how it plans to compete successfully within its industry, it needs to prepare a business plan to help it acquire the needed resources. A well-written business plan will also provide a blueprint of the essential steps that it needs to take to move forward. Although business plans are typically prepared by entrepreneurs when they are starting a new company, these plans are also useful to established companies that need to clarify their operations and procedures. Such plans can serve both internal and external publics.

There is no single template for writing a business plan. Plans that are written to obtain financing need to provide an extensive financial history, while plans that are written for investors should focus more on the qualifications and experience of managers. Good business plans that are clear, specific, and realistic lead to successful implementation. Some of the common components found in most business plans include

- An executive summary
- A description of the company and its history

- A description of its products and services
- A market analysis and a marketing plan
- A description of the management team
- A budget and a financial analysis showing both resources and needs
- An operations plan describing responsibilities and actions with timetables and realistic, measurable goals

Self-Assessment

- › I can explain the role of a mission statement in an organization and describe how mission statements might be developed.
- › I can define the term “strategy” and describe its role in an organization.
- › I can explain how strategies are formulated.
- › I can describe the components found in most business plans.

1.3 Effective HR Management

Objectives — by the end of this section, you should be able to:

1. Explain the purposes of HR budgets.
2. Explain the primary HR metrics.
3. Explain the benefits of outsourcing HR functions.

HR Budgeting Process

A budget is an itemized estimate of the operating results of a company for a future time period. The major difference between a budget and a financial statement is that a budget is based on planned operations for a future time period, while financial statements are based on actual results of past operations.

Budgets have three major purposes.

1. Coordination and integration: The budgeting process requires establishing objectives in advance and identifying the steps by which they will be accomplished.
2. Motivation: The budgeting process involves goal setting and feedback, and these activities serve to increase motivation.
3. Control and evaluation: A budget is an important management tool for monitoring the performance of a business unit and controlling its actions.

When the HR department is responsible for an activity, the budget for that activity is typically under its control. In some organizations, however, the costs for some activities are allocated to the operating departments, and HR contracts with them to provide the services the department requests. For example, supervisory training, management development, career planning, and productivity enhancement programs are occasionally budgeted to the operating departments, and the HR department contracts with them to perform these services.

HR Metrics: Evaluating HR Effectiveness

HR activities should contribute to the financial success of an organization. Although some HR activities, such as preparing compliance and safety reports, do not add to the profitability of a company, other HR expenses, such as training and employee assistance programs, add importantly to profitability. HR metrics, also called workforce analytics, allow managers to evaluate the important dimensions of success with respect to people, how they are recruited, trained, retained, and terminated. Good metrics help managers make continuous improvements in how people are treated and often dispel myths and incorrect assumptions. For example, a company that assumed its high turnover was due to low hourly wages was surprised to learn that the turnover was caused more by the fact that part-time work failed to provide enough hours of work. Another firm was surprised to learn that the long-term career success of its employees was stimulated more by a variety of job experiences within the company rather than specializing in just one area.

Measures of HR effectiveness have included

1. Subjective attitudinal measures
2. Statistical measures
3. Human resource accounting
4. Economic cost accounting measures

Some of these measures tend to focus on evaluating specific HR activities, some assess the performance of the HR department as a whole, and others measure the impact of HR programs on the economic success of the organization.

Statistical Benchmark Measures

Numerous statistical measures are used to assess HR activities, such as ratios, percentages, averages, and correlations. Some of the most frequently used statistics include the following.

Employee measures

- Job satisfaction and measures of company morale
- Organizational commitment and involvement
- Turnover and retention rates
- Absenteeism rates and days of sick leave taken
- Grievance rates
- Exempt terminations as a percent of exempt employees
- Nonexempt terminations as a percent of nonexempt employees

Productivity measures

- Output/input ratios
- Revenue per employee
- Cost per employee
- Units produced per employee
- Profit per employee
- Safety incident rates
- Cost of a new hire
- Time to fill vacant positions
- Worker compensation cost per employee

HR process measures

- HR department expense as a percent of operating expenses
- Ratio of total employees to HR staff employees
- Compensation as a ratio of company operating expenses

- Benefits as a percent of payroll or a percent of operating expenses
- Training expense per employee
- Cost per hire
- HR department expenses per employee
- Compensation as a percentage of revenue
- Retiree benefit cost per retiree
- Ratio of offers made to acceptances (yield ratios)

These statistics provide a valuable tool for assessing the performance of HR activities when there is a foundation for comparing them. Two ways to make sense of these statistics are (a) to compare them with comparable companies and (b) to compare them with the company's historical performance by examining changes over time. Benchmark data can be purchased, and firms can use these data to compare their ratios with other firms according to industry, size of company, region, and growth rate.

Primary HR Metrics

More than a hundred different metrics have been proposed for HR scorecards and companies need to decide which metrics are their key performance indicators, their best measures of both efficiency and effectiveness. Key performance indicators will not be the same for all companies and all industries. The following metrics represent some of the most common performance indicators that can be benchmarked across companies or over time. Efforts to standardize the formulas and define the terms for these metrics have contributed to their usefulness.

1. Revenue Factor (or Revenue per FTE): $\text{Revenue} \div \text{Total Number of FTE}$. This metric is often used as the primary measure of effectiveness of a company since it represents how much revenue is generated by the average full-time equivalent (FTE) employee. This metric views employees as a capital investment rather than as an expense. Part-time employees are included in the FTE count proportional to the hours they work.
2. Revenue per Labor Costs: $\text{Revenue} \div \text{Total Labor Costs}$. This metric has been recommended as a better measure to track than revenue per FTE since it motivates managers to reduce costs rather than FTEs. When companies focus on revenue per FTE, managers are motivated to use expensive overtime to meet production deadlines rather than less expensive contingency hiring that increases the number of FTEs.
3. Human Capital ROI: $(\text{Revenue} - (\text{Operating Expense} - (\text{Compensation Cost} + \text{Benefit Cost}))) \div (\text{Compensation Cost} + \text{Benefit Cost})$. This metric measures the return-on-investment ratio for employees and is frequently mentioned as the prime measure for analyzing HR practices, such as recruitment, training and incentives. Changes in this metric are carefully examined with respect to changes in HR practices to test for causal relationships.
4. Human Capital Value Added: $(\text{Revenue} - (\text{Operating Expense} - (\text{Compensation Cost} + \text{Benefit Cost}))) \div \text{Total Number of FTE}$. This metric represents how much value is added to the company from the average employee and is interpreted as the value of the workforce's knowledge, skills, abilities, and performance.

5. **HR Expense Factor:** $\text{HR Expenses} \div \text{Total Employees}$. This popular metric, also called HR cost per employee, represents the average cost of providing human resource services to the employees in a company. This metric can be benchmarked using surveys that show the average for all responding companies, plus the average HR expense for different industries and companies of different sizes. Two other popular HR cost metrics are HR cost as a percent of revenue and HR cost as a percent of total operating costs. A study found that “world-class HR” organizations have a 23 percent lower cost of HR per employee than typical HR organizations.
6. **Absence Rate:** $[(\text{Number of days absent in the month}) \div (\text{Average number of employees during month} \times \text{Number of workdays})] \times 100$. This metric is the standard measure of absenteeism and can be benchmarked with other absenteeism surveys, such as published job-absence reports, which show the rates for different industries and companies of different sizes. Benchmark data can indicate whether a company has a serious absenteeism problem. This metric can track the effects of changes in attendance policies, attendance incentive programs, and other interventions.
7. **Turnover Rate:** $[\text{Number of separations during the month} \div \text{Average number of employees during month}] \times 100$. This metric is the standard measure of turnover and can be benchmarked against data supplied by government labor-statistics agencies and published turnover reports. This metric measures the rate that employees leave a company and is usually divided into voluntary and involuntary reasons before examining potential problems in HR policies.
8. **Cost per Hire:** The cost per hire (CPH) metric measures the costs associated with the sourcing, recruiting, and staffing activities borne by an employer to fill an open position. This metric, developed by a joint industry committee for use across all industries in both the public and private sectors, is calculated as $(\text{external costs} + \text{internal costs}) \div \text{number of hires}$. The external costs include all recruiting costs, such as third-party agency fees, advertising costs, job fair costs, and travel costs. The internal costs include the salary and benefits of the recruiting team plus fixed costs such as the physical infrastructure. The number of hires includes both temporary and full-time employees for a given time period. This metric measures only the costs of hiring a new replacement and not the entire cost of turnover. This measure is used to examine changes in recruitment and retention policies. Other metrics that are used to evaluate the effectiveness of onboarding include first-year retention rates, time to complete training, time to receive equipment and tools needed to do the job, and time to achieve full productivity.
9. **Turnover Costs per Employee:** $(\text{Separation Costs} + \text{Replacement Costs} + \text{Training Costs} + \text{Lost Performance}) \div \text{Number of Replacements}$. This metric measures more than just hiring costs; it includes all of the costs associated with turnover and represents the average cost of replacing an employee who quits or is fired. Separate metrics can be calculated for different divisions, different jobs, and different job levels. These costs provide a significant motivation for examining and improving HR practices that reduce turnover.
10. **Time to Fill:** $\text{Total days elapsed to fill requisitions} \div \text{Number hired}$. This metric counts the number of days from which job requisitions are approved to the new hire starting date. It measures the average time required to fill job openings and reflects the efficiency of hiring practices. Other key recruiting effectiveness metrics include time to start, response time, offer acceptance rate, and quality of hire. According to a national benchmarking study, the average time-to-fill is 36 days.

11. **Training Investment Factor:** $\text{Total Training Costs} \div \text{Headcount}$. This metric represents the training cost per employee. As this metric changes, there should be corresponding changes in other metrics tied to training effectiveness, such as reductions in accidents following safety training.
12. **Health Care Costs per Employee:** $\text{Total Cost of Health Care} \div \text{Total Employees}$. This metric measures the per capita cost of employee health care benefits. This measure can be benchmarked against published labor and industry survey data. This metric is an important number during labor union negotiations and in communication with employees. Employees need to know how this metric has changed over time and what they can do individually to reduce it.
13. **Employee Benefits as a Percent of Payroll:** $\text{Total Employer Benefits Payments} \div \text{Total Gross Payroll}$. This metric, sometimes called Total Benefit Cost, measures the cost of benefits as a percent of payroll and is one of the most-frequently used metrics for comparing the cost of benefits within one's industry and over time.
14. **HR-to-Employee Ratio:** $(\text{Total Number of HR FTEs} \div \text{Total Number of FTEs in the Organization}) \times 100$. This metric provides a useful way to compare HR staffing levels between organizations. It represents the number of HR staff per 100 employees. Industry benchmarking studies report an average ratio of about 2.6, with a median of 1.58. The ratio of HR personnel to total employees in an organization is influenced by the organization's industry and size.

Outsourcing the HR Function

A significant trend for many companies is to pay outside specialists to perform some of their human resource functions. This strategy, called human resource outsourcing (HRO), can be a cost-effective method for companies to operate because

- Outside experts can use economies of scale to perform the HR functions more efficiently.
- Outside experts can use their expertise and a broader perspective to do the functions better.
- Outside experts are better prepared to keep abreast of technological advances and new legal requirements.

The HR functions that are the most likely candidates for outsourcing include

- Payroll administration
- Benefits administration
- Record keeping and information systems
- Retirement counseling
- Outplacement and relocation
- Health and wellness programs
- Testing, including drug testing and psychological testing
- Training and development, called learning system outsourcing (LSO)
- Recruitment, called recruitment process outsourcing (RPO)

Although outsourcing can relieve HR managers from routine administrative activities, it places a greater responsibility on them to manage what is outsourced and assess its effectiveness. Ensuring good quality requires good metrics to monitor what is happening. For example, recruitment process outsourcing (RPO) can be measured by such metrics as number of hires, time to hire, cost to hire, source of hire, interview-to-offer ratio, hiring manager satisfaction, candidate satisfaction, and new-hire retention and performance after six months.

Some companies outsource all of their human resource functions to a single vendor in an arrangement called HR business process outsourcing (HR BPO); all HR services are managed by a single contract. Although these contracts were quite popular after the turn of this century, vendors found that creating them was more costly and time consuming than anticipated and companies found that implementing and managing them were more difficult than expected. Consequently, most companies have found that outsourcing single services with separate vendors has served their needs better.

Although some have suggested that all HR functions could be performed better if they were outsourced, most companies are reluctant to relinquish total control. HR managers are encouraged to carefully examine which HR functions can be performed better by outside specialists and which are part of the company's central core. Companies should retain control of the HR functions that contribute to their competitive advantage. For example, none of the functions listed above have much potential to produce a competitive advantage for a company except possibly training and development. Therefore, they could be considered candidates for outsourcing.

Companies that want to outsource all of their human resource functions can do so with the assistance of a professional employer organization (PEO) or through an employee leasing arrangement. These companies contract with employers to manage almost all human resource functions and claim to provide an integrated and cost-effective approach to managing employer liability by contractually assuming substantial employer rights and responsibilities. While some employee leasing companies hire an employer's employees and lease them back to the employer, a PEO typically co-employs the workers under a contractual relationship that shares the management responsibilities. A typical contractual relationship between a PEO and an employer allows the PEO to

- Co-employ workers and assume legal responsibility for specified human resource functions for those workers.
- Reserve the right to direct and control the employees and share this responsibility with the employer consistent with the employer's responsibility for its product or service.
- Pay wages and employment taxes of the employees out of its own accounts.
- Report, collect, and deposit employment taxes with government authorities.
- Establish and maintain an employment relationship with its employees which is intended to be long term and not temporary.
- Retain the right to hire, counsel, and fire the employees.

Self-Assessment

- › I can explain the purposes of HR budgets.
- › I can explain the primary HR metrics.
- › I can explain the benefits of outsourcing HR functions.

1.4 HR Technology and Communication

Objectives — by the end of this section, you should be able to:

1. Describe the purpose of an HRIS.
2. Describe the uses of employee portals.
3. Describe the guidelines for a technology use policy.
4. Explain how virtual teams are used in organizations.

Introduction

The development of new technologies has dramatically changed the way many HR practices are performed. Portals allow employees to manage their own benefits without relying on HR specialists, artificial intelligence can be used to screen job applications and resumes and to generate predictive analytics, connectivity allows employers to communicate with each employee in a variety of ways, and team members can work together in virtual teams from multiple places around the globe. New technology provides tremendous benefits that make many HR activities much more efficient and convenient, but it also creates new problems that have to be managed.

Human Resource Information System (HRIS)

A human resource information system (HRIS) is a collection of information about the people working for the organization. An HRIS can be as simple as a sheaf of papers in a filing cabinet or as complex as a fully-integrated, multi-lingual, computerized human capital management system. The HRIS is often part of an organization's enterprise resource planning (ERP) system, a computer-based system that integrates the various processes throughout a business, such as inventory control, order management, production, customer service, accounting, and human resources. The purpose of ERP is to bind the different computer systems together so they can share information and make the organization more efficient. The organization's HRIS is often a key component of its ERP.

A carefully designed HRIS that is current and reliable can assist managers in many ways. The major uses of an HRIS include the following.

1. Human resource planning: to anticipate replacements and promotions.
2. Diversity reports: to know how many employees of each sex and ethnic group are employed in each job category.
3. Compensation reports: to obtain information regarding how much each employee is paid, the overall compensation costs, and the financial costs of pay increases and other compensation changes.
4. Personnel research: to conduct research into such problems as turnover and absenteeism, or to discover the most productive places to look for new recruits.
5. Training-needs assessment: to analyze the performances of individuals and to determine which employees need further training.

The job of selecting, implementing, and maintaining an organization's HRIS has become a major HR function. A recent survey found that 45 percent of HR professionals report that their organization has adopted a new human resource information system within the past five years, and 45 percent say they plan to implement a new HRIS within the next one to three years.

Data in the HRIS needs to be updated regularly, especially as employees join and leave the organization or make transitions within it. The following types of information can help keep an HRIS up-to-date.

- **Employment application:** Virtually every organization collects information as part of its hiring process. The application ought to be designed in part to collect the information needed for a human resource information system. This information includes educational level, skills, and other pertinent biographical data. Some organizations prefer to keep their initial application simple, asking only for information that will help them decide whether an applicant is a desirable job candidate. After a candidate is selected for employment, he or she is then asked to provide more detailed information for the HRIS.
- **Performance evaluations:** Information should be updated periodically regarding the employees' skills and talents, present levels of performance, and potential for growth.
- **Personnel change notices:** Since personnel changes occur throughout the year, this type of information needs to be updated frequently. Changes to an employee's status, such as a transfer, termination, promotion, or upgrading of job duties should be updated in the HRIS.
- **Disciplinary actions:** Information regarding formal disciplinary action should be included in the HRIS. As with other sensitive data, disciplinary information should be protected so only those who have a legitimate need to see it have access.
- **Payroll data:** Human resource information systems often contain each employee's salary history, including base pay, percentage increases for each year, and any bonuses and special awards that have been given.

In addition to keeping employees' data up-to-date, HRIS administrators must maintain the system itself so it remains current. Many systems require periodic updates to account for operating system and internet browser upgrades. System security is an ongoing concern, and administrators must be vigilant to avoid data breaches.

The HR department should also continually assess whether the HRIS is meeting the needs of the organization. Organizations are not static; they are constantly evolving, and the HRIS needs to evolve as well. For example, when a new company program is implemented or new government reporting regulations are established, the HRIS should be modified or upgraded to support these new needs. It is best to assess the organization's changing needs in a systematic way. One method for accomplishing this is through the use of gap analysis, which consists of comparing the current situation to the desired situation and identifying the “gap,” or the changes required to reach the desired state. Gap analysis can be used to ensure that the HRIS is meeting the needs of the organization. For example, an HR manager might write a description of the current functionality of the HRIS and then describe the organization's ideal HRIS. Between the two is the “gap,” representing the changes that need to take place for the HRIS to meet the organization's needs. The manager develops an action plan to address the required changes.

Artificial Intelligence and HR Portals

Artificial Intelligence

Artificial intelligence (AI) involves the development of computer systems that process data in much the same way as the human mind. In other words, an application using AI can process language, learn, reason, solve problems, and make decisions. The system then learns from the outcomes of its decisions and refines its own decision-making processes. Artificial intelligence can be applied to many HR functions, including recruitment, selection, onboarding, training, and performance management.

AI can streamline the application process by automatically gathering information from an applicant's resume, rather than requiring the applicant to enter it manually in an application form. This can both improve the quality of the data collected and decrease the likelihood that an application will be abandoned before it is completed.

Artificial intelligence can be used to help screen applicants for positions by identifying the attributes that most contribute to success on the job and assessing job applicants on these factors. Care must be taken with an AI screening process, as with any selection procedure, to ensure that it is not discriminatory.

Many repetitive HR functions can be automated using AI. Some examples include

- AI-powered onboarding process
- Personalized learning programs driven by an AI application
- AI-optimized employee referral procedures
- Project management using AI to match employees with projects based on employee skills and organizational needs
- AI applications that walk employees through benefits selection
- AI-driven identification of employees with key indicators of best promotion potential
- Employee scheduling using AI to identify probable workforce needs and employee availability

Vast amounts of data can be processed using artificial intelligence, much more than could be captured and considered by the human brain. Human resource departments that use artificial intelligence can become more efficient, leaving more time to focus on building relationships and strategic HR initiatives, tasks which need to be performed by human beings.

HR Portals

HR portals allow employees to access their own personal information and other company resources either from their own computers or mobile devices, or from kiosks placed in convenient locations. These portals have the advantage of allowing employees to access information whenever they want without having to bother the HR department. Although employees will still call HR when they have difficult questions, much fewer calls are received and many of them can be quickly answered by directing employees to the correct place on the company's website.

HR portals also allow managers to review and approve basic personnel actions, such as terminations, relocations, and salary changes. Managers usually appreciate these self-service arrangements since it allows them greater flexibility and quicker decision-making. These online self-service programs allow managers to have more control over transactional HR tasks, such as reviewing and approving merit

bonuses and incentives, learning management activities, and recruitment functions, including opening requisitions, reviewing resumes, and evaluating candidates.

Many companies centralize their HR functions using a shared services model. This model is designed to promote HR expertise and deliver improved companywide services for large diversified companies by administering HR activities that involve interacting with employees through a service center. These service centers provide a central unit for HR-related administrative and transactional tasks that employees, retirees, and business unit managers are able to access through online portals and phones. Effective service centers provide competent HR staff to answer questions and easy-to-navigate information centers that provide immediate information. The benefits of the shared services model come from having standardized services for all business units that can be administered uniformly from a central service center. Although these shared services can be provided in-house, many companies choose to outsource them.

Numerous software programs have been created to provide a variety of HR services and they can be included on a company's HR portal. These programs provide the following kinds of services for employees.

- Personal information, such as skills and work history, can be stored in the company's human resource information system (HRIS), and employees can access relevant information and update it periodically.
- During the open enrollment period for employee benefits, employees can examine the information regarding their benefits options and make their own decisions. Effective portals provide personalized information to help employees evaluate the options and make informed decisions.
- Employees can access their retirement and savings accounts and manage their investments.
- Employees can participate in wellness and engagement surveys and receive targeted information regarding events and programs of interest to them.
- Training courses can be provided through learning modules that track each employee's training history and mastery scores.
- Employees can record their work hours on electronic time sheets.
- Employees can search for applicable HR policies and review the company's employee handbook.

These software programs have traditionally been purchased by employers and loaded on their hardware. The employer is responsible for implementing, customizing, and maintaining the program and the employer controls the data. When there are updates or problems, the employer's IT staff has the responsibility of handling them.

An alternative arrangement, called software-as-a-service (SaaS), is for vendors to make software programs available to employers for an annual fee. The vendor operates the application, maintains the database, and handles updates and security. The employer owns the data and accesses the program through the internet with a web browser. These arrangements, also called “cloud computing,” allow businesses to escape the high cost of buying software and storing confidential employee information. A major benefit of SaaS arrangements is that they can be installed and updated more quickly because they provide a standardized service for multiple users. The disadvantage is that if they are standardized, they

cannot be customized for each employer. To the extent that they are customized, the benefits of rapid implementation and updating are lost.

Organizational Communication

Effective communication is the lifeblood of an organization. Information must be transmitted accurately and efficiently to the right people. Good communication is necessary for the development of strong relationships, effective teamwork, and employee engagement.

Direction of Communication

Communication in an organization flows over both formal and informal channels and in multiple directions. As shown in Table 1.1, the format of communication is influenced by its purpose and the direction of the communication.

	Downward	Upward	Horizontal	Informal
<i>Direction of information</i>	From higher level of the organization to lower	From lower level of the organization to higher	Between similar levels of the organization	Not along the organizational structure
<i>Purposes of communication</i>	Formal communications, directives, job instructions, delegation	Response to request for information, asking for help or permission, complaints	Sharing relevant information between individuals or groups	Casual, often outside of normal communication channels or formal meetings
<i>Examples</i>	Handbooks, manuals, memos, performance feedback	Performance reports, financial data, grievances	Task coordination, problem solving, conflict resolution	"Water cooler" discussions, the "grapevine," socializing
<i>Common formats of communication</i>	Printed material, company website, presentations, email	Email, phone, meetings, reporting systems, open-door policies	Team and intergroup meetings, email, phone	Informal conversation, phone, text
<i>Important considerations</i>	Information must be clear and concise. Avoid information overload.	Recipient must be open and receptive. Sender should respect recipient's time and preferred format.	Participants must avoid confusing jargon or terminology. Participants must not be territorial or behave as rivals.	Participants should avoid indiscretion, rumor, and disclosing others' personal information or private issues.

Table 1.1: Direction of Communication

Employee Communications

The biggest problem with employee communications is that employees fail to read them, often because they are too time consuming. Elaborate and carefully-written communications often sit untouched on employees' desks or in mail boxes, and employees claim they were never informed about important information. The likelihood that communications will be read increases, however, when they contain valuable information and they are easy to understand.

Some suggestions for making communications readable:

- Use simple language that can be understood by all employees.

- Keep sentences short, normally less than 20 words.
- Keep discussion of each issue to less than one page.
- Use wide margins on all sides.
- Use a graphic whenever it contributes to the explanation.
- Keep the communications short. Handbooks, for example, should normally be less than 30 pages. Memos should begin with an executive summary that is less than one page. Additional information should only be added if it is needed. Bulletins need to have clearly-worded headings to let employees know if they should read the subsequent section.

Employers use a wide variety of communication devices, including written memos, bulletin boards, email messages, voice mail messages, text messages, and newsletters. An advantage of voice mail, text, and email messages is that they can be simultaneously transmitted to a list of individuals. This list can be edited so that only the designated people receive the targeted information. The disadvantage is that the ease of transmitting information tends to increase the likelihood of communication overload.

Employers have less control over informal communication processes, such as social media and personal blogs. Companies ought to have policies regarding employees' use of electronic communication. For example, employers can prohibit employees from using social media or posting to blogs during working hours and from posting trade secrets or client lists. It is also appropriate to prohibit posts that harass or demean others. But employers cannot prohibit all use of social media and blogs because that would abrogate their employees' free-speech rights. Information that disparages the company's products or processes, especially with regard to safety concerns, could be construed as protected whistleblower activity or as concerted activity. Therefore, in many countries it is not legal for employers to squelch such communications. Rather than prohibiting employees from discussing work on personal blogs or social media platforms, employers may want to read and respond to what they say. Many creative ideas and opinions are freely expressed via social media, and companies may benefit from them.

Because of the growing misuse of electronic devices and the potential liability accompanying their misuse, employers need to create policies covering the use of technology and consistently enforce them. Examples of inappropriate technology uses include accessing inappropriate websites at work, sending spam e-mails, violating someone's privacy using a cell phone camera, wasting time surfing the internet, and playing computer games or gaming. Email messages are never permanently deleted and some companies have found that thoughtless emails have served as "smoking guns" to incriminate them in harassment suits. The following are some suggestions for a technology use policy.

- Clearly state that all electronic communications are subject to being monitored and that employees should have no expectation of privacy when using social media at work or on company-owned equipment.
- Explain that all electronic devices and equipment provided by the employer are to be used for business purposes and establish guidelines on inappropriate use.
- Explain that the privacy of electronic communications cannot be assured even with passwords and encryption.
- Establish limits regarding the personal use of technology during work hours, especially regarding texting and social media.

- Establish guidelines on the proper use and dissemination of confidential data.
- Provide guidelines regarding the rights to privacy and how they can be violated.
- Describe the consequences of misusing technology and require employees to sign a statement acknowledging that they understand the policy and agree to have their electronic communications monitored.
- Help employees understand that they are ambassadors for the company's brand and what they write on social media sites may be distributed to the world even if they only share it with friends.
- Encourage employees to think twice before posting comments that would be embarrassing when read by their CEO, spouse, or family members.
- State that when an individual's employment is terminated, his or her personal devices can be wiped clean of all company data.

Virtual Teams

Technology makes it possible for groups of people to effectively work together without being in the same location; thus, they are called virtual teams. These teams have become increasingly popular among multinational companies who have employees located in distant locations around the globe. The primary advantage of global virtual teams is the company's ability to leverage competencies and skills from all parts of the world. These teams are seen as having the ability to solve very complex problems and create innovative solutions.

Three factors that are essential to the success of virtual teams are effective leadership, motivation, and the ability to communicate. Competent leaders are required to promote trust and maintain effective working relationships among virtual team members. Leaders must create the guiding principles and structure to ensure that the group efforts are coordinated. They also have to identify and define the roles and responsibilities for team members and motivate them through meaningful recognition and rewards. Team members must feel accountable to each other as well as to the leader.

The technologies that allow virtual teams to share information include email, group chat applications, intranets and the internet, video conferencing, teleconferencing, webcasts, shared electronic whiteboards, and groupware. Shared project management tools can be used to ensure that documentation is consistent and relevant across all team members and enable real-time updates and changes. Instant messaging and text messaging allow all team members to be in constant contact regardless of their locations and time zones. A world clock helps members identify the most convenient times for conference calls. Voice over IP and video chats provide inexpensive ways for team members to communicate and feel a sense of community as they work together.

An effective method for collaborative teams to communicate is through a wiki on the company intranet. A wiki is a knowledge-based site that serves as a repository for existing text documents, spreadsheets, graphics, and other materials that can be accessed and edited by each team member and shared by other team members in a virtual workplace. Wikis are far more efficient than emails with attachments for project teams that want to elicit input from each member since the most recent revision is continually available. Although wikis are not appropriate for personal private information, they are ideal for developing shared documents such as strategy documents, job instructions, institutional knowledge, books, and research articles.

A variety of web-based tools are available for managing collaboration between team members. Virtual teams can communicate via instant-messaging and video-conferencing platforms. They can collaborate on shared documents using cloud-based office applications, and share files amongst team members using file-sharing tools. Teams can use project management tools to plan project timelines and to chart responsibilities.

Self-Assessment

- › I can describe the purpose of an HRIS.
- › I can describe the uses of employee portals.
- › I can describe the guidelines for a technology use policy.
- › I can explain how virtual teams are used in organizations.

1.5 Organizational Design and Development

Objectives — by the end of this section, you should be able to:

1. Compare and contrast functional and product departmentalization.
2. Describe the advantages and disadvantages of decentralization.
3. List and explain five methods of achieving coordination in an organization.
4. Explain division of labor and span of control.
5. Describe the matrix structure and explain the advantages and disadvantages of this structure.

Introduction

As part of their responsibility for the management of strategic human resources, HR managers are expected to play an important role in making organizational design decisions and knowing how to redesign ineffective structures. How organizations are designed has an enormous influence on their efficiency and effectiveness and the quality of life for their employees.

Organizational structure refers to the relatively fixed relationships that exist among the jobs in the organization. The process of creating this structure and making decisions about the relative benefits of alternative structures is called organizational design.

Five design decisions are involved in creating an organizational structure. These design decisions involve

1. Departmentalization
2. The delegation of authority
3. Coordinating mechanisms
4. Division of labor
5. Span of control

A matrix structure is usually a unique combination of two forms of departmentalization: function and product.

Functional Versus Product Departmentalization

Functional Departmentalization

All of the jobs associated with performing a particular function can be grouped together into the same department. For example, all of the jobs associated with accounting, such as general ledger accountant, accounts payable clerk, accounts receivable clerk, and cost accountant, could all be combined into an accounting department. All of these jobs perform similar activities and are related to a similar function that requires training in accounting. Functional departmentalization is the most widely used scheme in organizations because of its efficiency.

The functional basis of departmentalization contains both advantages and disadvantages. Perhaps the most significant advantage is that it promotes skill specialization by having people who face similar problems and opportunities work together.

The disadvantages of functional departmentalization are that it reduces communication and cooperation between departments.

Product Departmentalization

Product departmentalization consists of combining jobs that produce similar products into a department. This type of departmentalization typically occurs in large firms when it becomes difficult to coordinate the various functional departments. A product-oriented department allows its employees to develop greater expertise in researching, manufacturing, and distributing a specific product line. Managers have better control over the success or failure of each product if the authority, responsibility, and accountability are assigned according to products. This type of departmentalization is illustrated by the brand-management structure used by large consumer-goods manufacturers to organize their major products.

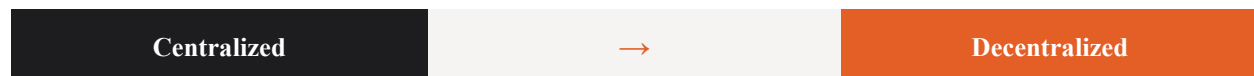
The major advantage of product departmentalization is that it creates greater interdepartmental coordination and focuses the efforts of the department on producing an effective and useful product.

The major disadvantage of organizing by product is that the resources and skills of the organization are not fully utilized unless the organization is extremely large. For example, a computer-driven lathe machine that is only used for one product and sits idle much of the time represents an inefficient use of capital resources. Another disadvantage is that product-oriented departments usually lead to increased costs because of the duplication of activities, especially staff functions.

Centralized Versus Decentralized Decision Making

The issue of centralization versus decentralization concerns the delegation of authority and how broadly it is distributed through the organizational hierarchy. Decentralization refers to the extent to which various types of power and authority are extended to supervisors and the production employees at lower hierarchical levels of the organizational structure. The more decentralized an organization, the greater the extent to which the rank-and-file employees can participate in and accept responsibility for decisions concerning their jobs and other activities of the organization. The amount of authority delegated to subordinates can vary along a continuum from highly centralized to highly decentralized.

Authority: Delegation



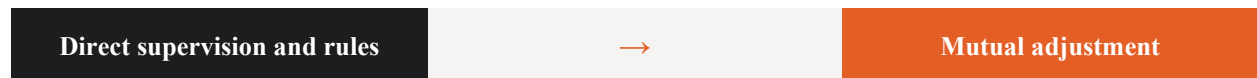
To design an effective organizational structure, managers must select the optimal amount of centralization and decentralization of authority. Power and authority should be decentralized to an extent that organizations utilize the knowledge and expertise of lower-level participants, while simultaneously maintaining sufficient centralization to ensure adequate coordination and control. Like the other concepts of organization design, the ideal policy depends upon the situation.

Formal Versus Informal Rules and Control Mechanisms

Organizations need to process information and coordinate the efforts of their members. Employees at lower levels need to perform activities consistent with top-level goals, and the managers at the top need to know about the activities and accomplishments of people at lower levels.

Organizations use a variety of integrating mechanisms to achieve coordination. Five different methods of achieving coordination have been identified that vary along a continuum of how much discretion is allowed for the worker.

Coordinating Mechanisms: Personal Discretion



1. Direct supervision: Work is coordinated by designated supervisors who tell subordinates what to do.
2. Standardization of work processes: Jobs that are highly routine can be coordinated through standard operating procedures or the technology itself, such as assembly line jobs.
3. Standardization of outputs: When products must be produced according to technical specifications, these specifications may serve as an adequate basis for coordinating the activities. Individual workers are allowed some discretion in performing the work as long as the output meets the required specifications.
4. Standardization of skills: Highly skilled and trained employees can typically coordinate their own activities by performing activities consistent with their technical training. Coordination of a surgical team or an ambulance crew is often achieved by having individuals perform their jobs according to the way they were trained.
5. Mutual adjustment: Mutual adjustment refers to a constant interchange of informal communication; individuals coordinate their work through informal processes such as meetings, task forces, and liaison positions, mutually adjusting to each other's needs. Employees communicate with whomever they need to communicate without regard for formal lines of communication.

A critical issue in choosing a coordinating mechanism concerns the need for information and how this information is collected, processed, and disseminated. The type of information collected by a driver's license bureau, for example, is mostly routine information that can be coordinated for the most part by rules and procedures. Companies that manufacture and sell fashion merchandise, however, require extensive market information that may be obtained from a variety of irregular sources and disseminated informally to anyone who needs to know.

Division of Labor

The key issue associated with division of labor concerns the extent to which jobs should be specialized. All jobs are specialized to some degree, since everyone can't do everything, but some jobs are considerably more specialized than others. One of the major benefits of organized activities is that people working together through a division of labor are able to produce more as a group than the sum of their efforts if they were each working alone.

Specialization is low when employees perform a variety of different tasks and high when each person performs only a single task. In a word processing center, for example, the degree of specialization is low

if three typists are allowed to type, edit, and proofread the manuscripts they receive. However, if each of these functions is assigned to a different individual, the degree of specialization would be high. The degree of specialization can be represented along a continuum.

Division of Labor: Specialization



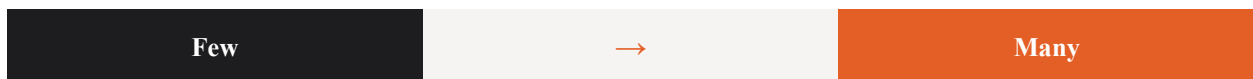
Deciding on the appropriate level of specialization is an important design decision because it has a large impact on organizational productivity. It is possible to create such highly specialized jobs that the organization suffers from a lack of coordination or periodic shortages of enough work to keep everyone busy. Highly specialized jobs can also be extremely boring. On the other hand, there are definite advantages to highly specialized jobs, and the chief advantage is that they contribute to higher levels of productivity. Several reasons explain why specialization is more productive.

1. It creates greater proficiency by allowing employees to perform the same repetitive activity.
2. It requires less training to master the job.
3. Less time is lost going from one activity to another.
4. Special tools can be developed which can lead to partially or completely automating that task.
5. There is better quality control of the output.

Span of Control

The span of control issue asks how many individuals should be placed in a group under one supervisor: what is the appropriate size of a work group? The number of subordinates assigned to each supervisor could vary along a continuum from few to many.

Span of Control: Number



The span of control decision has a major influence on the organization's shape and structure. Organizations that use a broad span of control have relatively few hierarchical levels because many people work under the authority of a single supervisor. Where the span of control is narrow, however, each manager supervises only a few subordinates, thereby creating a tall organizational structure.

A tall organizational structure with a narrow span of control allows for closer control over subordinates and greater personal contact between manager and subordinate. The risk, however, is that a manager with a narrow span of control comes to know only two or three subordinates very well and fails to become acquainted with others in the hierarchy. Consequently, tall organizations often inhibit interpersonal communication within the organization.

Although a range of between four to six subordinates is often recommended, a much larger span of control may be appropriate depending upon four situational variables.

1. **Contact required:** Jobs that require frequent contact and a high degree of coordination between superior and subordinates should use narrower spans of control. For example, jobs in medical technology and research and development often require team members to consult frequently with a supervisor; therefore, a large span of control would preclude the necessary sharing of ideas and information that typically occur on an informal basis.
2. **Level of subordinate education and training:** The skills and competence of subordinates influence how much supervision they need and whether the span of control should be broad or narrow. Highly skilled employees and professionals who are well trained generally require less supervision because they know their jobs well and they largely supervise themselves.
3. **Ability to communicate:** Instructions, guidelines, and policies can be communicated to employees in a variety of methods. If all of the necessary instructions can be written and then disseminated, it is possible for one manager to supervise a large group. However, as communication becomes more difficult and job-related discussions become more important, a narrower span of control is appropriate to avoid overloading a supervisor.
4. **Nature of the task:** Jobs that are repetitive and stable require less supervision and are more amenable to wide spans of control. For this reason, some field supervisors are able to supervise as many as 60 to 75 field hands in harvesting agricultural crops. However, when tasks are changed frequently a narrower span of control is appropriate.

Matrix Structures

Many organizations have found that a combination of functional and product departmentalization provides the best reporting relationships and horizontal linkages enabling them to achieve their organizational goals. This dual structure simultaneously organizes part of the organization along product lines and part of the organization along functional lines to gain the advantages of both. The simultaneous overlapping of these two functions is referred to as a matrix organizational structure. Although other types of departmentalization could be used to form a matrix organization, the most typical type of matrix structure is a combination of function and product, as illustrated in Exhibit 1.4.



Exhibit 1.4: Matrix Organizational Structure

In a matrix organization, each department simultaneously reports to both product and functional managers. The product managers and functional managers have equal authority within the organization and employees report to both of them. For example, a member of the legal department may be assigned to assist with the development of a specific product and assume the responsibility for all of the legal

activities associated with the development, production, and distribution of this product. This individual would report to both the product manager and the supervisor of the legal department.

Although a dual hierarchy may seem awkward and unusual, it represents an effective structure in some situations. A matrix organization can quickly create new products or new responses to improve technical quality, while retaining the benefits of its product and functional basis of organization. Consequently, a matrix structure is particularly effective when environmental pressures create a demand for both technical quality (functional) and frequent new products (product). These dual pressures require a balance of power which calls for a dual authority structure to reflect the environmental pressures. A matrix structure is particularly useful in an uncertain environment. Frequent external changes and high interdependence between departments require effective linkages between departments within an organization.

The disadvantage of a matrix structure is that it increases role ambiguity, stress, and anxiety by assigning people to more than one department. These disadvantages have been referred to as a “matrix tax.” Matrix structures violate the principle of unity of command. The employees who work in a matrix structure often feel that inconsistent demands are made upon them, causing unproductive conflicts and short-term crisis management. Occasionally employees abuse the dual authority structure by playing one manager against another to generate excuses for their incompetence or inactivity.

Self-Assessment

- › I can compare and contrast functional and product departmentalization.
- › I can describe the advantages and disadvantages of decentralization.
- › I can list and explain five methods of achieving coordination in an organization.
- › I can explain division of labor and span of control.
- › I can describe the matrix structure and explain the advantages and disadvantages of this structure.

1.6 Organizational Culture

Objectives — by the end of this section, you should be able to:

1. Explain the difference between organizational climate and culture.
2. List and explain the four levels of organizational culture.
3. Describe how an organizational culture develops.
4. List the forces that contribute to maintaining an organization's culture.
5. Describe the steps for changing an organization's culture.
6. Describe the characteristics of an inclusive workplace.

Introduction

Organizational culture consists of those socially acquired rules of conduct that are shared by members of the organization. Some researchers believe that some aspects of an organization's culture are so intangible and pervasive that even the members of the organization cannot be expected to describe them accurately. Nevertheless, an understanding of organizational culture is essential to building effective organizations. Like the powerful undercurrents of ocean tides and rivers that move mighty ships, or the hidden icebergs that can destroy these ships, an organization's culture affects the entire organization. Human resource activities play a central role in creating and maintaining an organization's culture.

Culture defines the basic organizational values and communicates to new members the correct ways to think and act and how things ought to be done. Culture enhances the stability of the organization and helps members interpret organizational activities and events. The focus of culture is to provide members with a sense of identity and to generate within them a commitment to the beliefs and values of the organization.

Climate versus Culture

Each organization has its own unique constellation of characteristics and properties that comprise its culture and climate. Although these terms are used interchangeably and refer to similar phenomena, a subtle distinction is often made regarding their permanence: culture generally refers to organizational rules and beliefs that are relatively enduring and resistant to change, whereas climate describes characteristics that are temporary and capable of being changed. The weather has been used as a popular analogy to explain these differences. Like daily weather patterns, organizational climate (employee attitudes) can fluctuate from time to time because of organizational changes. Culture, however, is like the seasons of the year; the seasons change slowly over time and are associated with stable and enduring weather characteristics that transcend daily variations. Climate typically refers to people's attitudes and how they feel about the organization. While climate can be measured quantitatively by asking employees to complete a climate survey, culture is usually measured qualitatively using ethnographic research methods borrowed from anthropology. Most of the opinion surveys that are administered by human resource managers would be considered climate surveys.

Levels of Organizational Culture

Organizational culture is difficult to understand because it includes virtually every aspect of the organization and the most important elements of culture are not visible. Culture can be studied from four very different levels of analysis: artifacts, norms, values, and underlying assumptions.

Cultural artifacts are tangible aspects of culture, the behaviors, language, and physical symbols, that we can perceive with our senses and that reflect the rules and core beliefs of the organization's culture. Many of these symbols are readily apparent to anyone who visits an organization and observes its surroundings, such as the furnishings in the buildings and the dress and grooming standards of the employees. Ceremonies and rituals are also illustrations of cultural artifacts that reflect the rules governing behavior in the organization.

Shared norms are the situation-specific rules that are often not directly visible but can be inferred from the organization's artifacts. Key norms can often be determined by the degree of consistency in how group members act. For example, if the majority of team members report to committee meetings five or ten minutes late, we can infer that being on time is not an important norm. Some norms are explicitly defined in employee manuals along with penalties for violating them.

Cultural values represent the collective beliefs, ideals, and feelings of members about the things that are good, proper, valuable, and right. Unlike the situation-specific nature of norms, values are broader rules that are applied across situations. Values are often identified in statements of corporate values or management philosophy.

Companies have multiple values and four criteria are used to examine their usefulness: values should be viable (feasible in the current business environment), balanced (relative to the importance of each other), aligned (consistent with each other), and authentic (sincerely and genuinely espoused). If a value, such as “respond immediately to every request,” is not feasible, then it is not viable. If undue emphasis is placed on it while other values are suppressed, it is not balanced. If it is inconsistent with other values, it is not aligned. And, if no one really believes in it, it is not authentic.

When members behave in ways that are inconsistent with the organization's values there is a discrepancy between the “ideal values” and the real values. This discrepancy may be so great that it causes people to become disillusioned with the organization and has a negative impact on morale. For example, employees experience cynicism and low morale when a company publicly says that it values serving the customer but fails to provide employees with the necessary training or resources to serve customers well.

Shared assumptions provide a foundation for how people think about what happens in organizations and represent the deepest level of culture. These assumptions represent beliefs about reality and human nature that are taken for granted and are deeply embedded in the way we understand and interpret daily life. Consequently, shared assumptions are the most difficult to study. Some examples of shared assumptions are whether we think people are basically good or bad, whether we think relationships should be hierarchical or equal, and whether we think we are masters of our environment or we should live in harmony with the environment.

Human resource policies are a reflection of these shared assumptions. For example, when HR managers assume that the employees are lazy and can't be trusted to do their work, they rely on a variety of control mechanisms, such as time sheets, spot checks, and harsh punishment for mistakes. These artifacts reflect

norms and values of distrust and high control on the part of the HR manager. The culture of a firm would be quite different, however, if it were based on the assumption that all employees could be trusted to work hard and make significant contributions to the organization. Uncovering these tacit assumptions is an important part of cultural analysis.

Development of Culture

Since culture involves a complex configuration of shared artifacts, norms, values, and assumptions, it cannot simply be dictated by top management. Indeed, many researchers argue that the pronouncements and speeches of top management have a very small impact on the real things that reflect an organization's culture, its ceremonies, stories, symbols, and slogans. An organization's culture is not created by any single person or event, but by a complex combination of forces that include the visions of the founders, the expectations of leaders, the contributions of organizational members, and the way the organization has historically responded to problems of internal integration and external adaptation.

Expectations of Founders and Leaders

Founders have a large influence on the culture of an organization, especially in the beginning. Their expectations, their decisions, how they treat people, how they spend their time, and what they value have a major impact on what employees value and how outsiders perceive the organization. Unless the founder's influence becomes institutionalized, however, the impact of a founder diminishes as the organization grows.

Later in the life of the organization, its culture will reflect a complex mixture of the assumptions and values of the founder as well as other early leaders. Current leaders can also have a significant impact on creating or changing an organization's culture, especially by the example they set. Because leaders are so visible, their actions and comments are observed by people both in and out of the organization. The leadership style of a CEO is often imitated by other managers and supervisors throughout an organization. Great transformational leaders have the capacity to create a new vision and inspire members to change how they think about the organization.

Member Contributions

The members of an organization bring with them their own personal cultures which come from their families, their communities, their religions, any professional associations to which they belong, and their nationalities. Since the actions of members impact an organization's culture, it is constantly changing in small ways as people come and go. Some individuals are cantankerous, unhappy souls who find endless opportunities to complain. These people create an unpleasant work environment that is very destructive and difficult to change as long as they are there. Other individuals are unselfish and altruistic and find genuine satisfaction in performing random acts of kindness. These people create a happy and satisfying work environment that is contagious and spreads to other coworkers.

Historical Accommodations

Every organization has to confront two major challenges that impact the development of its culture: (a) external adaptation and (b) internal integration. External adaptation refers to the way an organization survives by coping with a constantly changing external environment. Some of the most important issues that demonstrate external adaptation are: What major crises has the organization confronted and how did

it deal with them? How has the organization changed its strategy, structure, technology, or leadership to accommodate external changes? How did these changes affect the organization?

Internal integration is concerned with establishing and maintaining effective working relationships among the members of an organization. Internally, organizational culture helps to define the criteria for the allocation of power and status. Every organization establishes a pecking order and rules for how members acquire, maintain, and lose power. These rules help members manage their expectations and feelings of aggression. The criteria for allocating rewards and punishments are also defined by the organizational culture. The legends and myths let members know which behaviors are heroic or sinful, what gets rewarded with status and power and what gets punished through withdrawal of rewards or termination.

Maintaining Organizational Culture

Organizational cultures are maintained by a combination of many forces, especially

- The selection and retention of employees
- The allocation of rewards and status
- The reactions of leaders
- The rites and ceremonies
- The stories and symbols
- The reactions to crises

Employee Selection and Discipline

Organizations tend to hire people who match their culture; they want employees who will fit in and adapt to the organization's culture. Recruitment and selection procedures are designed to identify not just the specific skills and talents of job applicants, but also their personalities and interests. The organization then maintains its culture by disciplining or even terminating employees who consistently deviate from accepted norms and practices. Thus, discipline procedures also become an important instrument for maintaining cultural values.

Other human resource practices also help to reinforce the organization's culture. For example, the values of a company can be controlled by those who establish the criteria for evaluating employees, decide which managers get promoted, set the standards that determine how pay increases are granted, and present the orientation training. These practices become known throughout the organization and serve to maintain or change an existing culture.

Reward and Status Allocation

An organization's reward system can either maintain or change its culture. The rewards and punishments attached to various behaviors convey to employees the priorities and values of both individual managers and the organization. A dramatic change in an organization's reward system can make a significant change in its culture almost overnight.

Leader Reactions

Although it is rather subtle, what managers pay attention to is one of the more powerful methods of maintaining organizational culture. Administrators perform a variety of symbolic activities that influence the power relationships in organizations. The following is a list of symbolic actions that explain what leaders can do to increase their personal power and exert greater influence in an organization.

1. Spend time on activities that are important. The amount of time an administrator spends on an activity communicates a message regarding the importance of that goal or function.
2. Change or enhance the setting. A new setting conveys the feeling that something new is happening. An enhanced setting with more elaborate furnishings generally means that the activity is more consequential and important.
3. Review and interpret history. Events have meaning only through our interpretations of them. The most important interpretations are those derived from a historical analysis that demonstrates a consistent line of meaning and direction. If current events appear to be consistent with historic trends, it is easier to obtain a consensus on a chosen course of action. For example, wage cuts and extra hours are more acceptable if it can be shown that the employees have always responded with loyalty and sacrifice during hard times.
4. Establish a dominant value expressed in a simple phrase. A simple phrase, one that reflects a dominant value and is easily remembered, can influence the behavior of organizational members by creating a consensus about appropriate behavior. For example, a simple slogan such as “Pride in performance brings excellence in service” can mobilize support for greater organizational commitment and dedication to work.

Rites and Ceremonies

Rites and ceremonies provide opportunities to reward and recognize employees whose behavior is congruent with the values of the company and they are conducted for their benefit. They are also special occasions when managers can reinforce specific values and beliefs. These occasions provide an opportunity to recognize heroes and induct them into the organization's hall of fame.

Stories and Symbols

Organizational stories have a profound impact on culture regardless of whether they are true or false. Most stories are narratives based on true events that are shared among employees and told to new members to inform them about the organization. Some stories are considered legends because the events are historic, but may have been embellished with fictional details. Other stories may be organizational myths: not supported by facts, but directionally consistent with the values and beliefs of the organization. Stories are important because they preserve the primary values of the organization and promote a shared understanding among all employees.

A symbol is something that represents something else. In one sense, ceremonies, rites, and stories are symbols because they represent the deeper values and assumptions of the organization. Physical symbols are often used in organizations to represent and support organizational culture because they focus attention on a specific item and because they are so powerful. Recognition awards, for example, are much more valuable than their economic value because of what they symbolize. The value of physical symbols is that they communicate important cultural values. If the physical symbols are consistent with the ceremonies and stories, they are a powerful facilitator of culture.

Reactions to Problems

The way managers and employees respond to a crisis reveals much about an organization's culture. When problems arise and employees do not have standard operating procedures telling them what to do or an opportunity to consult upper management to seek direction, they are forced to rely on their understanding of the organization's culture to do what they think is best.

The way managers and employees respond to a crisis also has the potential to create or change an organization's culture. The way in which a crisis is handled can either reinforce the existing culture or generate new values and norms that change the culture in some way. For example, a company facing a dramatic reduction in demand for its products might react by laying off or firing employees. This reaction would communicate an important message that people are not very highly valued, regardless of how reasonable the terminations were or how well they were explained. Or the company might reduce employee hours or pay and ask employees to sacrifice temporarily while the company experienced an economic correction.

Changing Organizational Culture

Most cultural interventions are actually attempts to clarify the culture of the organization. These interventions are typically conducted with top-level managers in the organization in a series of group discussions that focus on such questions as “What is our unique mission?” “What do we want to be known for?” and “What are the ten commandments of this organization?”

Changing an organization's culture is considerably more dramatic and difficult than modifying other parts of a system. Acquiring new artifacts and symbols may not be too difficult; it may even be possible to change some group norms and patterns of behavior. But at the deepest level, a culture change requires alteration of the basic assumptions of the organization in its essential character. The following steps have been suggested for changing an organization's culture.

1. Conduct a culture audit. The first step involves diagnosing the culture and subcultures within the organization. What are the current values and behaviors and are there discrepancies between espoused beliefs and actual behavior? The goal of the diagnosis is to develop an accurate “map” of the culture, which generally requires extensive interviewing rather than written surveys.
2. Assess the need for change. Change is needed if the current culture is not solving problems of integration or adaptation, or if it is harming people in the organization. As organizations grow and evolve, their cultures may become incompatible with the changing circumstances. Values and beliefs that may have been appropriate for a smaller company may be dysfunctional in a larger company.
3. Unfreeze the current culture. Change efforts are much more successful when there is a perceived need for change that compels people to consider something new. Most instances of significant cultural change are not planned; they accompany sudden and cataclysmic events, such as the death or retirement of the founder, a decision to merge or sell the business, dramatic changes in growth or profitability, major technological changes, or fundamental changes in the strategy or structure. These events tend to “unfreeze” or destabilize the entire cultural system and prepare it to consider a major restructuring of the assumptions, values, and beliefs.

4. Elicit support from the cultural elite. Top management and other opinion leaders compose the “cultural elite” in an organization; they are the ones who interpret events for members and establish the rules of conduct.
5. Implement an intervention strategy. Possible interventions include team-building meetings, revising the training and development activities, installing new reward systems, changing the organizational structure, rewriting the mission statement, creating new group norms, developing a new language and metaphors, and negotiating new roles. The replacement of key individuals who hold the old beliefs may also be necessary.
6. Monitor and evaluate. Cultural change is incremental and rarely occurs quickly. A system for monitoring and evaluating the transition to a new set of values and beliefs can provide an ongoing process of transitional change.

Developing a Culture of Inclusion

According to research on organizational diversity, goals for diversity, which are often established in response to claims of discrimination, can actually be destructive to the very individuals these goals are intended to help. Diversity programs seek to improve the representation of groups that are currently underrepresented in the organization. The programs may include training opportunities, targeted recruiting, and preferential treatment for these groups.

While these programs may improve the representation of women and minorities in the organization, they can also have unintended consequences. Other employees may infer that women and minorities are less qualified for positions that they hold and that they represent unfair competition for positions and promotions. As a result, minorities and women may feel excluded, disliked, or unwanted.

In the absence of a culture of inclusion, employee groups targeted by diversity initiatives may fail to fully integrate into the organization, which can prove counterproductive. Studies show that when diversity is sought for the sake of diversity, with no regard for inclusion, companies have lower revenue, lower performance, poorer employee morale, increased conflict, and higher levels of absenteeism. But when diversity initiatives are combined with a culture of inclusion, diversity leads to higher performance, lower absenteeism, better customer satisfaction, and higher levels of innovation. That said, inclusion is often a difficult goal. While diversity, or the lack thereof, can be measured, and deficiencies can be addressed by policy changes at a departmental or organizational level, a culture of inclusion is difficult to quantify and often requires changes in individual attitudes and behaviors.

Many diversity initiatives include training that focuses on teaching employees to avoid overt discrimination, actions that are illegal, or behaviors that may be considered offensive. While these are important issues, this type of training can lead to behavior that feels mechanical, forced, or inauthentic, where the focus is on avoiding offense rather than behaving in a way that makes others feel wanted and valued. Diversity, equity, and inclusion interventions that focus on self-awareness help employees recognize their own biases and their behaviors that may be perceived as exclusive rather than inclusive.

Characteristics of an inclusive workplace include the following.

- There is a welcoming workplace culture where everyone is treated with respect and dignity and everyone feels valued.

- Policies are in place concerning equality and human rights, working conditions, dignity at work, employee welfare, and fair recruitment and procurement practices.
- Members of staff at all levels are aware of the inclusive values of the organization and are actively consulted and involved in policy development.
- The workforce is representative of the local community or customers (or if not, under-represented groups are encouraged to apply).
- All employees are encouraged to develop and progress, and any barriers faced by specific groups are identified and action taken to address them.
- Unnecessary hierarchies and occupational segregation, where groups of employees are congregated into certain areas, are discouraged.
- The organization is aware of any potential tensions within the workplace, and takes action to anticipate and address them.
- Inclusive strategies are fully supported and promoted by senior staff.

Self-Assessment

- › I can explain the difference between organizational climate and culture.
- › I can list and explain the four levels of organizational culture.
- › I can describe how an organizational culture develops.
- › I can list the forces that contribute to maintaining an organization's culture.
- › I can describe the steps for changing an organization's culture.
- › I can describe the characteristics of an inclusive workplace.

1.7 Ethics

Objectives — by the end of this section, you should be able to:

1. Define ethics and explain HR's role in organizational ethics.
2. Explain role morality and how it relates to ethics in an organization.
3. Explain the requirements of corporate financial-integrity legislation such as the Sarbanes-Oxley Act.

Organizational Ethics

Ethics refers to generally-accepted standards of public and private conduct, concepts of right and wrong that prescribe how people ought to behave. These standards include obligations to behave honestly, to respect the rights of others, and to refrain from hurting other people, either intentionally or unintentionally. An individual's ethics guide his or her actions and decisions. In much the same way, organizational ethics are the standards and principles that guide how an organization is operated. Organizations with high ethical standards function with integrity, fairness, compassion, and consistency.

Organizational ethics encompasses both how members of the organization should behave and how individuals should be treated. Organizations exist for a purpose. In many cases that purpose is to provide products or services as a means of making money. Some organizations have seemingly more noble aims, such as educational, religious, or charitable endeavors. But regardless of the organization's goal, and however honorable that goal may be, an organization should never pursue its objectives by compromising the ethical behavior of its members or by sacrificing the ethical treatment of any person, inside or outside of the organization.

The Role of HR in Organizational Ethics

Human resource managers play a key role in developing an organizational culture that promotes high ethical standards. HR managers should monitor the ethical environment of the organization and ensure that ethics is a priority throughout the organization, beginning with the executives. Ethical leaders should be selected to fill management and supervisory positions, and all employees should participate in ethics training programs. The onboarding process should include an introduction to the organization's expectations of ethical behavior, and these concepts should be reiterated during future training, reinforced through ongoing communication, and consistently applied in real-life situations.

Human resource policies should be based on the principle of fairness. The following guidelines can direct the development of ethical employment policies.

1. All employment decisions regarding hiring, promotion, pay increases, training opportunities, and terminations should be based on objective, performance-related criteria rather than on subjective biases or personal whims. This means employment decisions should be more than just non-discriminatory; they should be based on job-related criteria.

2. Each employee should be treated as a person of worth with dignity and respect rather than as an object that can be controlled or physically, sexually, or verbally abused. Employees should not be subjected to unwelcome or intimidating acts.
3. Disciplinary actions and criticisms should only occur for good cause, and employees should have the right to due process before any punitive actions are taken.
4. Employees should not be terminated unless their jobs are eliminated or they are unable to perform them. Personal preferences and personality clashes are not valid reasons for termination.
5. Performance should be fairly and objectively evaluated against clearly defined standards; the evaluation should not be influenced by subjective biases or irrelevant personality traits.
6. Employees should be fairly and equitably paid for their work on the basis of the job's requirements, the employee's performance, and the employee's knowledge, skills, and abilities. One person should not be paid less than another unless there is a legitimate job-related reason for it.
7. Employees should be taught how to perform their jobs, and they deserve accurate and timely feedback on their performance.
8. Employees should have a safe and healthy work environment that is free from unnecessary hazards or harmful substances, and they should be informed about anything that could cause health problems.
9. An employee's personal health and family responsibilities have a higher priority than organizational responsibilities; therefore, the organization should make reasonable accommodations to help employees with personal problems and family emergencies.
10. Organizations should not invade an employee's personal privacy. Only relevant, job-related information should be disseminated within a company, and nothing personal should be disseminated outside the organization unless the employee authorizes it or the outside party has a legitimate need to know.

Defining Morality

Although morality is a complex concept, it can be simply defined in terms of both means and ends, by the processes that occur and by the consequences of those processes.

Moral actions are basically just and fair; they respect the autonomy and dignity of people, and they are perceived by rational people as being right and proper. If a process is dishonest or unfair, it is immoral. But fair does not mean equal. Compensation, for example, can be distributed unequally and still be fair if it is based on reasonable criteria, such as performance or seniority. This definition of morality, called deontology, is based on the fundamental fairness of an action or the means used to achieve the result.

In terms of consequences, morality is defined as that which helps people and makes their lives better. Actions are moral if they contribute to the social, emotional, and intellectual development of people. Actions are immoral if they unnecessarily harm people. Behavior that hurts people, behavior that contributes to mental, emotional, or physical distress, and behavior that disrupts the general welfare is immoral (unless it contributes to an important higher good as determined by a higher-level moral analysis). This definition of morality, called teleology, focuses on the end state or consequences of an action.

Role Morality

Role morality refers to the obligations associated with a position, or role, within an organization. Roles consist of the tasks and responsibilities of each position in an organization. According to role morality, people are behaving morally when their actions and decisions are consistent with the expectations of their assigned role. Conversely, they are said to be acting immorally when their actions do not comply with the expectations of their role.

The role of human resource managers, for example, involves such actions as recruiting, hiring, evaluating, compensating, and terminating employees. When they distribute termination notices to employees who are being downsized, human resource managers are acting according to the role they are expected to perform. Although issuing termination notices often causes significant pain for those being terminated and discomfort for those delivering the notices, the actions of HR managers are considered moral and right according to role morality if the downsizing is occasioned by business necessity, and if it is done fairly.

Role morality is often discussed with respect to actions that would normally be considered immoral outside of a specific position's role responsibilities. For example, some lawyers are expected to represent individuals who they clearly know are guilty of their charged crimes. What is their obligation with respect to role morality? Their role involves representing the interests of their clients, even those who are criminals. Challenging evidence or invoking other legal technicalities to exonerate guilty clients and allow them to go free is considered consistent with their assigned role, even though it would be wrong for the average citizen to help criminals escape justice. Role morality is thus thought to provide a legitimate justification for actions that would otherwise be considered wrong.

Nearly every position in an organization has the potential for conflicts between what is expected in the role and what is generally considered moral behavior. Journalists may be pressured to exclude sources that contradict the biases of their editorial staff. Sales associates may be obligated to overstate a product's qualities to be consistent with their company's advertising. Accountants may be asked to manipulate data to make their company's financial situation look better. Laborers may be instructed to dispose of toxic chemicals improperly. A receptionist may be asked to tell callers that certain employees are not in the office when, in fact, they are.

Whether role morality absolves individuals of role-related immoral behavior is not a clear-cut or settled matter. All roles have moral implications associated with their actions, but some role expectations are more complex than others. Organizations should take care to avoid, wherever possible, role expectations that encourage or justify immoral or unethical behavior among their members.

Self-Assessment

- › I can define ethics and explain HR's role in organizational ethics.
- › I can explain role morality and how it relates to ethics in an organization.

1.8 HR Research and Analytics

Objectives — by the end of this section, you should be able to:

1. Describe the strengths and weaknesses of the various data-gathering techniques.
2. Define inferential and descriptive statistics.
3. List the various charts and graphs used to summarize data and describe what type of data is best displayed by each.

Introduction

Human resource managers are often frightened by the thought of human resource research because it raises the specter of statistics, hypothesis testing, and difficult reading. Although it is true that some research involves complex theory building, it is also true that most human resource research tries to answer simple questions that managers often raise, such as

- What are the best schools for recruiting engineers?
- Is our selection process identifying the best applicants?
- Why are we losing our best people?
- Is our new employee orientation program better than the old one?

The human resource department collects extensive data regarding the organization's employees, including employee demographics (i.e., age, education, experience, tenure, background, and work history), as well as information about attendance, job satisfaction, job descriptions, compensation programs, employee skills, training needs, safety records, and performance evaluations. This massive amount of information, often referred to as big data, can contribute to better management decisions and organizational performance through effective HR research and analytics. If HR information is skillfully collected and competently interpreted, it can help HR managers to do the following.

- Identify the strengths and weaknesses of the organization
- Forecast workforce requirements
- Assess the effectiveness of a recruiting strategy
- Evaluate the validity of a selection procedure
- Optimize a training and development program
- Determine the value of an incentive compensation program
- Identify the cause of increased grievances
- Diagnose organizational problems
- Determine whether safety training is reducing accidents
- Discover the factors contributing to turnover

- Demonstrate the value of the HR department to the organization

Human resource analytics software is available to help collect and analyze human resource and business data, but human resource managers must be able to interpret the results of the analysis and understand what it means for their organizations. One of the major aims of HR research and analytics is to show the impact of human resource management on the organization. When cause-and-effect relationships between human resource management and organizational outcomes are identified, strategies can be developed based on that information. If they understand the scientific method and research methodology, HR managers can use both quantitative and qualitative research designs to answer important questions about their organizations.

Data-Gathering Methods

An important part of effective human resource research is having good data to analyze. The ideal circumstance is to have data that specifically measure each variable being considered. For example, to know how something influences job satisfaction, direct measures of job satisfaction would yield the most specific data. Unfortunately, direct job-satisfaction measures are often not available, so researchers may be forced to rely on indirect measures, such as absenteeism, turnover, or grievance rates. These variables are related to job satisfaction but only indirectly. In conducting human resource research, four kinds of data may be available: archive data, observations, interviews, and questionnaires.

1. **Archive Data:** Archive data refer to the kinds of information contained in the human resource files. Every organization is required by law to accurately record certain information, and this record-keeping responsibility is typically delegated to the human resource department. The Uniform Guidelines on Employee Selection Procedures require employers to maintain and have available for inspection data showing whether their recruitment and placement practices are fair. Likewise, the Fair Labor Standards Act requires employers to maintain accurate records of the hours worked by employees. Employers have a legal responsibility to maintain accurate archival data.
2. **Observations:** Some research questions can be answered only by observing the behavior of employees. For example, the best method of assessing a job redesign program is to observe a work group and determine whether the work flows smoothly, with cooperative effort. The disadvantage of observations is that they are an intrusive type of measure: the process of observing an employee's performance often causes the employee to behave differently. (This phenomenon is called the Hawthorne Effect, after a well-known series of workplace studies conducted in the 1920s and 1930s.) Most employees tend to work faster when they know they are being observed and their productivity is being measured. However, other employees intentionally alter their performance to create meaningless data.
3. **Interviews:** Interviews are an effective way to learn how employees feel about an issue and to understand their personal opinions. The advantage of an interview is that it is a rich source of data collection in the sense that it provides information about a broad range of topics, rather than just the narrow agenda of an interviewer. The major disadvantage of interviews is that they are time consuming and only a limited number of people can be interviewed. A method for making interviews more useful is through focus groups, which are group interviews with a moderator and eight to twelve people who share a common interest. Effective focus groups require the moderator to present a precise problem statement and then listen unobtrusively to the group discussion. These

group discussions can provide qualitatively different information than individual interviews because the presence of other group members creates greater anonymity, candor, insight, and breadth of analysis.

4. Questionnaires: A carefully developed questionnaire can be administered to a large sample of employees, and the information can be conveniently analyzed and interpreted. The popularity of questionnaire data for research purposes is largely attributed to the ease of administration and convenience of analysis. However, the disadvantages of questionnaires are that they are time consuming to develop and the data can only answer the specific questions in the questionnaire. If all the relevant issues are not covered in the questionnaire, the information obtained will be inadequate and possibly even misleading. The best solution to this dilemma is to interview a sample of workers to identify the relevant issues and then to use the information from these interviews to construct a questionnaire.

Archive data of the types listed above frequently include:

- Accident records
- Affirmative action records
- Application forms
- Arbitration awards
- Attitude surveys
- Disciplinary records
- Exit interviews
- Grievance reports
- HR information system records
- Insurance records
- Job descriptions
- Job specifications
- Medical records
- Payroll records
- Performance evaluations
- Salary-increase records
- Test scores
- Training records

Quantitative Analysis

Reliability and Validity

All data collection methods need to satisfy two requirements: the data must be both reliable and valid.

Reliability refers to the consistency of the measure. A research instrument is said to be reliable if it produces consistent and repeatable measures each time it is used. Measuring tapes, stop watches, and frequency counts, for example, provide very consistent and reliable measures. Questionnaires are usually reliable if the questions are clear; but if they are ambiguous, the responses will be random and the instrument will be unreliable.

Validity is concerned with whether the research instrument actually measures what it is supposed to be measuring. The validity of a questionnaire may be more difficult to assess. For example, does a questionnaire measuring company commitment really measure what it is supposed to measure? Are people with high scores more loyal to the company? Do the people who leave have lower scores? Are the scores related to the willingness of employees to defend the company against public criticism?

Inferential and Descriptive Statistics

A convenient and easily understood way to report the results of a group of numbers, such as test scores, is to arrange the data in a frequency distribution. Bar charts are often used to show a frequency distribution; the length of each bar indicates how many people received the same score.

Most frequency distributions display a similar bell-shaped pattern of responses: the scores tend to be concentrated near the middle with fewer scores near the ends of the distribution. This distribution is called the normal distribution and it occurs when almost any human characteristic is measured over a large population of people.

Descriptive statistics are used to summarize data in meaningful ways so the results can be used to make decisions. The most frequently used statistics to describe a set of numbers are those designed to show the central tendency and those designed to show the degree of dispersion. The measures of central tendency include the mean, median, and mode.

1. Mean: The mean, also called the arithmetic mean, is the average. It is calculated by adding all of the numbers together and dividing by the number of numbers added.
2. Median: The median is the middle score when the scores are arranged in order from high to low. Half of the numbers are higher than the median and the other half are lower than the median.
3. Mode: The mode is the number that occurs most frequently. Although the mode is usually close to the mean and median, it does not necessarily need to be. Any number along the continuum could be the mode if more people received that number than any other number.

Percentile scores provide useful information that helps to interpret data. A percentile score shows the percent of people in a random sample from a particular population who would be expected to obtain a lower score. For example, a percentile score of 64 indicates that 63 percent of the population would be expected to obtain a lower score and only 35 percent would be expected to score higher.

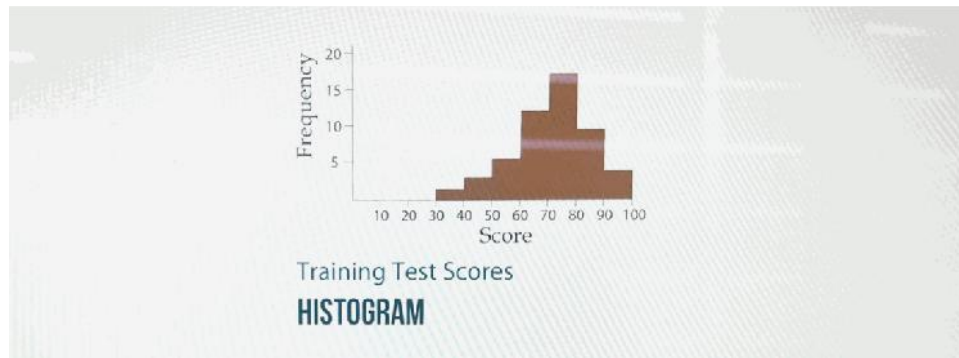
Inferential statistics are used to make inferences about a larger population of people when data have been obtained from only a small sample. For example, if we know the absenteeism of one department, can we extrapolate from this to the remainder of the company?

Graphically Displaying HR Data

Human resource managers collect an enormous amount of data, which they analyze and summarize for a variety of uses and audiences. Creating charts and graphs of the data can help other parties more easily access and understand the information. The following is a list of graphs and charts that are frequently used by human resource managers, along with an explanation of when best to use each.

Histogram

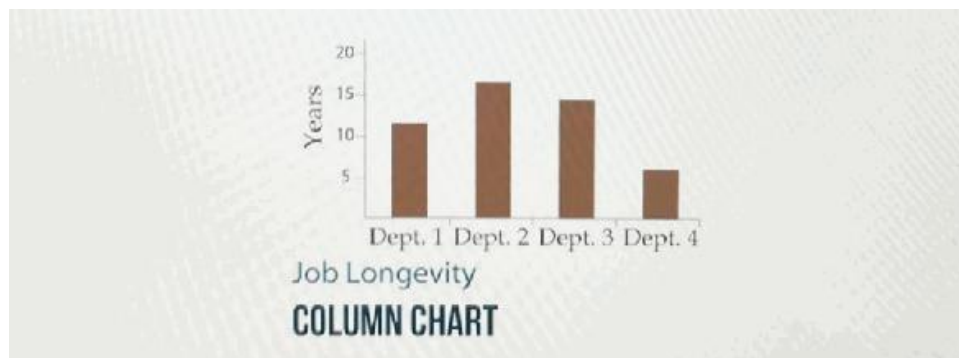
Histograms show distributions of quantitative data with ranges of data grouped into intervals. For example, a histogram could be used to show the test scores of participants in a training program, with each bar representing a range of test scores. There are no spaces between the bars on a histogram because there are no gaps in the data.



Histogram — Training Test Scores

Column Chart

Column charts are used to compare variables by plotting categorical data. Column charts generally have categories along the horizontal axis and numbers on the vertical axis. Column charts look similar to histograms, but the bars have space between them, representing that the categories are distinct. A column chart could be used, for example, to represent the average longevity on the job of employees in each department.

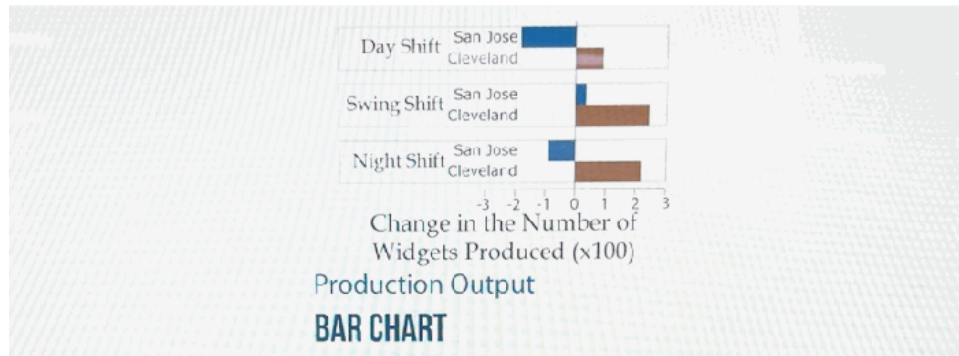


Column Chart — Job Longevity

Bar Chart

Bar charts are similar to column charts; they are used to compare variables by plotting categorical data. However, bar charts generally have the categories listed along the vertical axis, and the numbers are on the horizontal axis. While column charts and bar charts are usually interchangeable, bar charts are

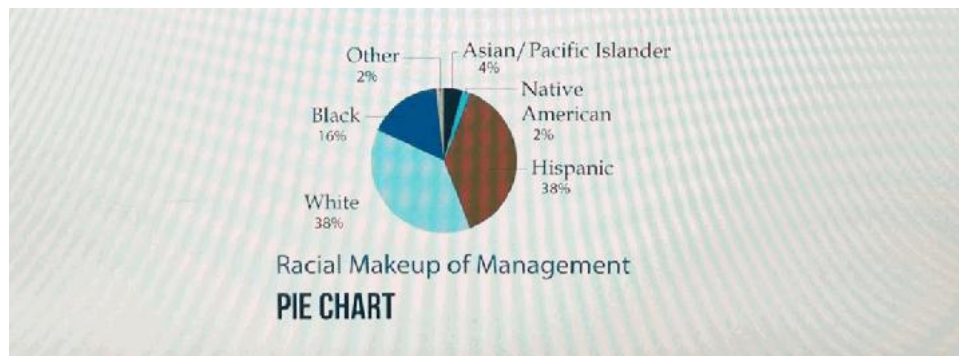
frequently used when the category titles are too long for a column chart and when negative values need to be displayed in some of the categories. For example, a bar chart could be used to show the difference in production output of each work shift after the installation of new equipment.



Bar Chart — Production Output

Pie Chart

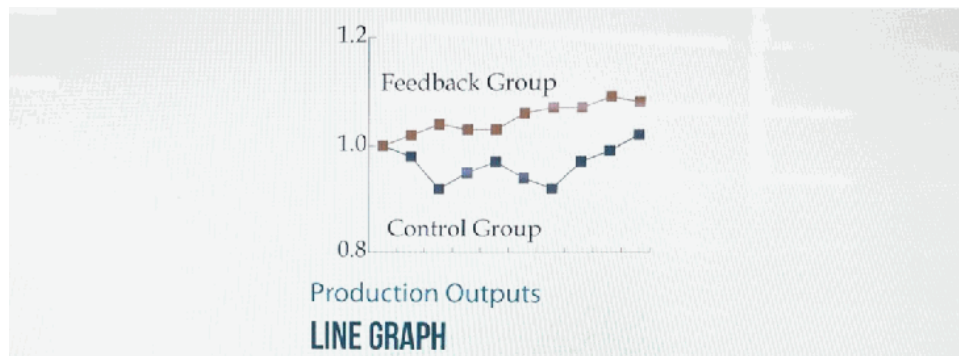
A pie chart shows how categories make up parts of a whole, with each pie piece representing the relative size of the category. The numbers on a pie chart are represented in percentages, and the total of all segments must equal 100 percent. For example, a pie chart could be used to show the proportion of employees from each race who are represented in a department.



Pie Chart — Racial Makeup of Management

Line Graph

Line graphs are used to display continuous sets of data and are frequently used to show trends or progress over a period of time. Values are displayed on the vertical axis, and time is shown on the horizontal axis. Multiple sets of data can be compared on a line graph by representing each data set with a different line. A line graph, for example, could compare the production outputs of a group of workers using a new continuous performance feedback system with a control group.



Line Graph — Production Outputs

Dual-Axis Chart

Dual-axis charts are used to show the relationship between two sets of data. For example, a set of categorical data (such as the percentage of employees who have completed a safety training program) could be shown using a column chart, and continuous data (such as improvements in the company's accident rate) could be displayed as an overlaying line graph.



Dual-Axis Chart — Safety Training and Accidents

Scatter Plot

A scatter plot displays the relationship between two variables, and it shows trends in the distribution of the data. Each data point is plotted using the two associated variables on a grid created by the vertical and horizontal axes. The data points are each represented with a dot. Scatter plots are frequently used to display the relationship between pre-employment test scores and on-the-job performance data.



Scatter Plot — Test Scores and Job Performance

Venn Diagram

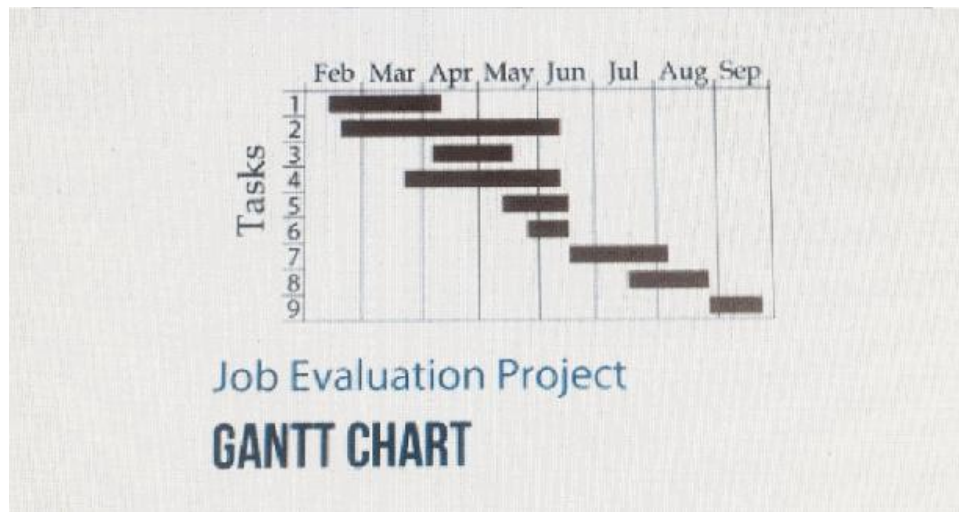
A Venn diagram consists of two or more overlapping circles that show the relationship between sets. The overlapping area shows the intersection between the sets, or what the sets have in common. For example, a Venn diagram could be used to show results of an employee satisfaction survey with one circle representing employees who say they are “highly satisfied” with their jobs and another circle representing those who rate their supervisors as “excellent.”



Venn Diagram — Satisfaction and Supervisor Ratings

Gantt Chart

Gantt charts display all of the tasks involved in a project, the relative order of the tasks, and the amount of time each task is expected to take. A Gantt chart can help determine the amount of time the entire project needs for completion, and it helps determine when specific people or resources are needed. A Gantt chart could be used, for example, to show the process of completing a job evaluation project.



Gantt Chart — Job Evaluation Project

Self-Assessment

- › I can describe the strengths and weaknesses of the various data-gathering techniques.
- › I can define inferential and descriptive statistics.
- › I can list the various charts and graphs used to summarize data and describe what type of data is best displayed by each.